BERNSTEIN
SOCIETE GENERALE GROUP

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Japan IT Hardware & Electronics

Hitachi Ltd

Rating

Outperform

Price Target

6501.JP **7,300.00 JPY**

Hitachi Deep Dive: Monetizing the Installed Base through Lumada (Part 2)

We initiated Hitachi as our top pick, viewing it as one of the clearest expressions of our Physical AI framework (Japan IT Hardware & Electronics: Japan's Physical AI Comeback - Initiating with a positive view), and explored its Energy business in Part 1 (Link). In Part 2 of our deep dive, we explore Lumada 3.0, presenting our differentiated view on ***how it can drive Hitachi's next phase of growth.***

Lumada: Digital synergy connecting software and AI monetization of the installed base. Lumada 3.0 is Hitachi's Physical AI strategy. It provides the digital layer that allows Hitachi to monetize its installed base across DSS, Energy, Mobility, and Connective Industries. By integrating AI, software, and domain knowledge into real-world assets, Hitachi can improve customer productivity, maintenance efficiency, energy management, and system uptime. We see Lumada proportion to increase from 39% in 2025 to 72% in 2030E.

HMAX is the optimizing software core to Lumada 3.0, we see room for penetration growth particularly in Energy. HMAX is the software where data from installed base assets are integrated with AI software to predict maintenance and asset management. HMAX is currently largely used in Connected Industries relating to elevator operations. We see Rail and Energy as low-hanging fruit for HMAX expansion as HMAX penetration in these areas are low but important for maintenance efficiency and failure prevention.

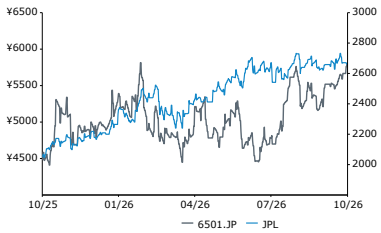
GlobalLogic integration uplifts DSS know how for SI and Lumada execution. The GlobalLogic integration is key to Hitachi's digital transformation. GlobalLogic has strengthened Hitachi's DSS business and HMAX AI Integration with systems integration, data cleaning and customization know how, and experiences. We see Domestic IT services as the main driver of DSS while GlobalLogic expands its synergies to other businesses across Hitachi from 29% in 2023 to >100% in 2025. Additionally, AI is likely to create new opportunities for System Integrators especially in Japanese highly customized IT industry.

Close Date	13 Oct 2026
6501.JP Close Price (JPY)	5,764.00
Price Target (JPY)	7,300.00
Upside/(Downside)	27%
52-Week Range	6,039.00/4,222.00
JPL	2,660.92
FYE	Mar
Div Yield	1.0%
Market Cap (JPY) (B)	26,142.97
EV (JPY) (B)	25,510.16

Performance	YTD	1M	6M	12M
Absolute (%)	17.6	8.2	16.3	35.2
JPL (%)	20.6	1.5	9.3	29.1
Relative (%)	(3.0)	6.8	7.0	6.1

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Investment Implications

We believe Hitachi's Digital strategy is at an inflection point with recent AI model advancement catalyzing its data swath and installed base. While the Energy story is known and priced in, we believe Lumada and DSS will drive further upside to the stock. **We rate Hitachi Outperform as our top pick at JPY7,300.**

Adjusted EPS	F25A	F26E	F27E
6501.JP (JPY)	176.63	231.31	295.52

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	10,587	12,190	13,723	--

Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	32.6	24.9	19.5

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

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DETAILS

LUMADA 3.0 : EXPANDING THE DIGITAL OPPORTUNITY ACROSS HITACHI'S INSTALLED BASE

Hitachi's next Physical AI growth phase is Lumada 3.0. It is Hitachi's strategy to monetize its installed asset base by integrating software and AI into mission-critical infrastructure across energy, rail, and industrial systems. Unlike pure software providers, Hitachi combines operational data, domain expertise, and physical assets to deliver measurable customer outcomes, including lower maintenance costs, improved energy efficiency, and higher productivity.

- **What is Lumada? Lumada is not a standalone software product or platform, but Hitachi's overarching business concept for creating value by combining IT, OT, products, data, domain expertise, and AI to turn customer and frontline data into actionable insights and operational improvements.** While Lumada has evolved from data-driven optimization (Lumada 1.0) to digital engineering (Lumada 2.0) and now AI-enhanced infrastructure and asset management (Lumada 3.0), its core objective remains unchanged: applying digital technologies to improve customer outcomes. Consequently, Lumada revenue does not represent sales of a single product, but rather a management classification covering Digital Services and Digitalized Assets, including systems integration, software, related services, and connected products *(Exhibit 1).* The Lumada revenue ratio therefore measures Hitachi's progress toward its target digital business model, rather than directly measuring incremental software revenue or profitability (*Exhibit 2).* We expect Lumada 3.0 to support revenue growth and margin improvement as Hitachi expands its applications, increases cross-selling and upselling, and shifts toward a richer mix of higher-margin services.

- **Hitachi's acquisition of GlobalLogic in 2021 supported the transition to Lumada 2.0 by adding digital engineering capabilities across the customer value chain.** GlobalLogic designs and develops software-powered products, platforms, and digital experiences, with expertise spanning experience design and software engineering. The USD9.6bn acquisition strengthened Hitachi's ability to translate its IT, OT, and domain expertise into user-facing digital solutions and broadened Lumada's global delivery capacity.

- **Hitachi's edge is not generic enterprise AI; it is the combination of data, domain knowledge, installed assets, and AI across real operating environments.** Lumada 3.0 extends this proposition beyond IoT and digital engineering into AI-enabled social infrastructure, applying the digital capabilities of DSS across Hitachi's Energy, Mobility, and Connective Industries businesses. The opportunity is not simply to sell software, but to embed AI into mission-critical infrastructure where Hitachi already has an established equipment presence, longstanding customer relationships, and deep operational expertise. **Together, these strengths position Hitachi to translate asset data into measurable operational benefits** *(Exhibit 3).*

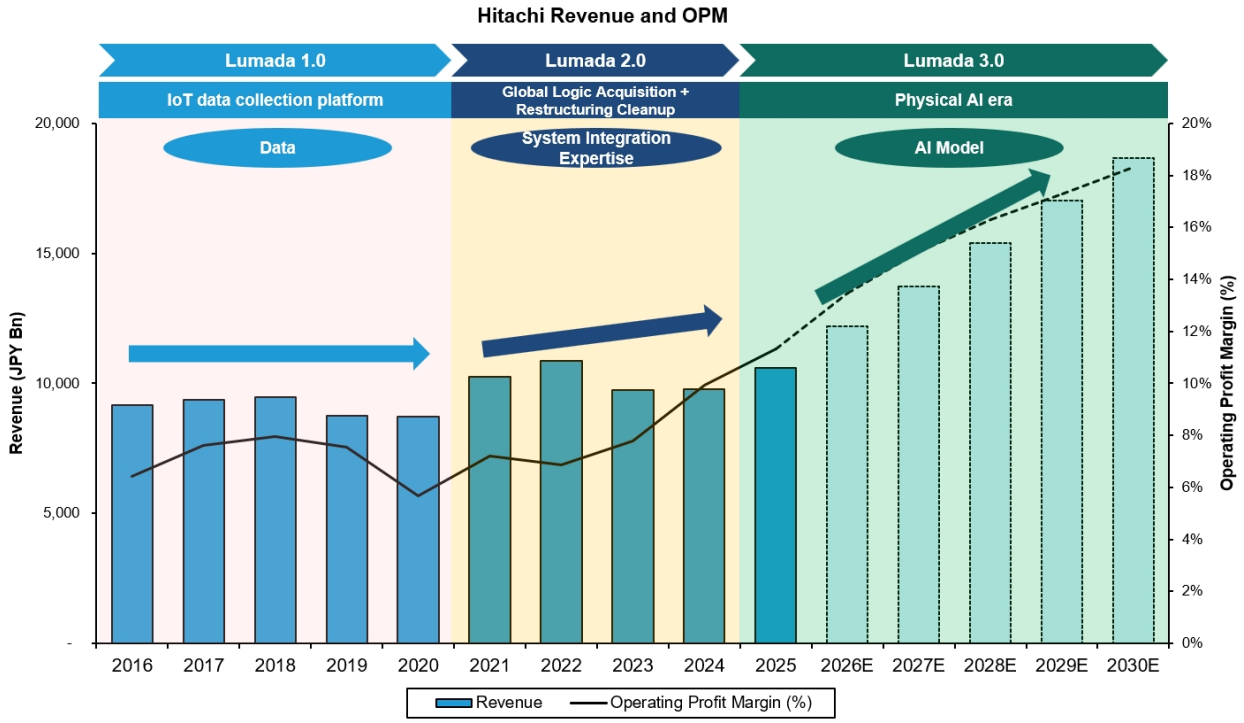
- **Understanding Lumada starts with OT, as Hitachi's differentiation lies in connecting its physical assets and operational expertise with IT and AI.** Operational technology refers to the hardware and software used to monitor and

control physical equipment and processes. While IT systems primarily process information, OT systems interact directly with equipment, making safety, reliability, and real-time processing critical requirements. Meeting these requirements demands deep expertise in the underlying equipment and operating processes. Historically, OT systems operated largely independently of IT systems. However, advances in cloud computing, data analytics, and AI enable greater integration, allowing operational data to be collected from physical assets, analyzed through IT systems, and fed back into field operations. Under Lumada, Hitachi combines operational data with its domain knowledge and AI to create a continuous "Sense–Store–Think–Act" cycle, translating insights into maintenance and operational decisions (*Exhibit 4*).

- **We forecast Lumada's share of group revenue rising from 39% in FY2025 to 52% in FY2027E and 72% in FY2030E, supported by broader adoption across Energy and Mobility.** Our FY2027 estimate is above Hitachi's 50% target. The expansion reflects both the digitalization of equipment and systems and growth in software and lifecycle services. We expect additional applications, cross-selling, and a richer services mix to support revenue growth and margin improvement as Hitachi captures more value from its installed base. *(Exhibit 5-Exhibit 7).*

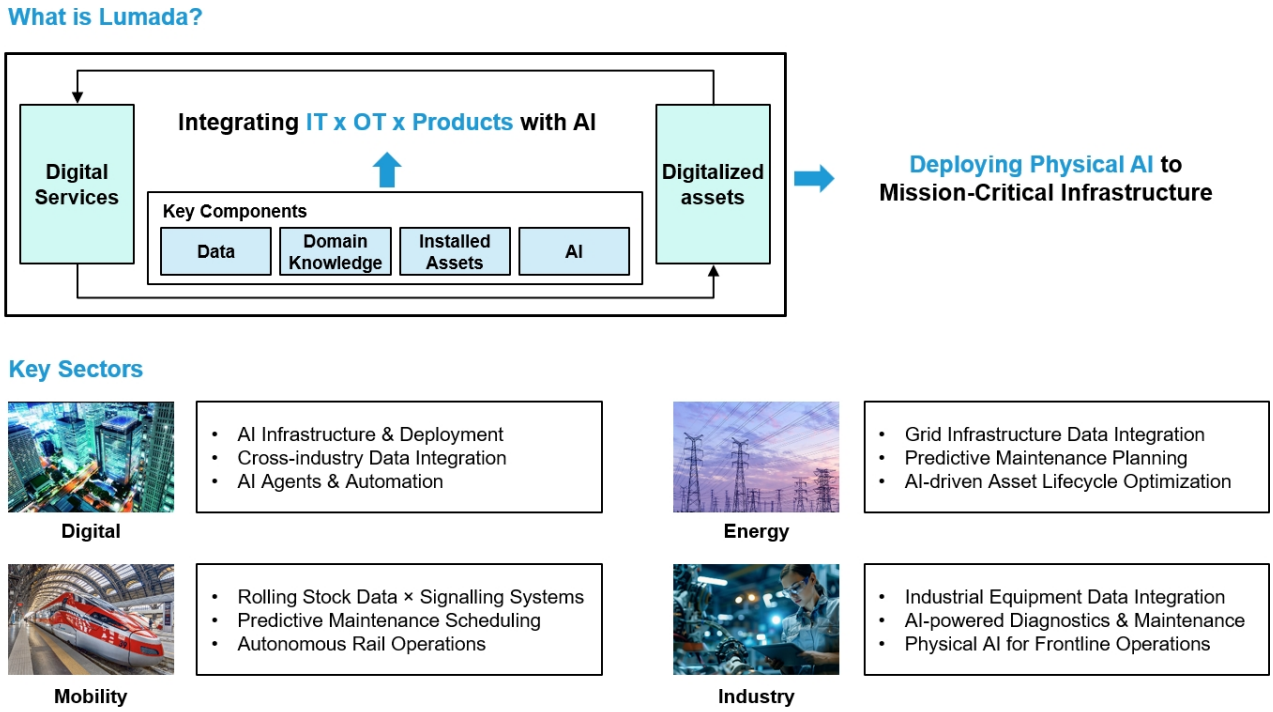
- **HMAX serves as Lumada 3.0's digital solution layer, translating Hitachi's physical-asset expertise, frontline data, and AI into commercially deployable solutions to improve productivity, operational efficiency, and asset performance.** Hitachi deploys HMAX across multiple domains through co-creation with partners such as NVIDIA (covered by Stacy Rasgon) and OpenAI (unlisted), **integrating their technologies into industry-specific applications.** Dedicated Physical AI forward-deployed engineering (FDE) teams support end-to-end implementation. This reflects the practical application of our Physical AI framework: real operating assets, operational data, domain-specific models, and measurable outcomes such as lower operating costs, improved asset utilization, and better system performance *(Exhibit 8)*.

EXHIBIT 1: **Hitachi is in its 3rd phase in Lumada, accelerated by AI integration**



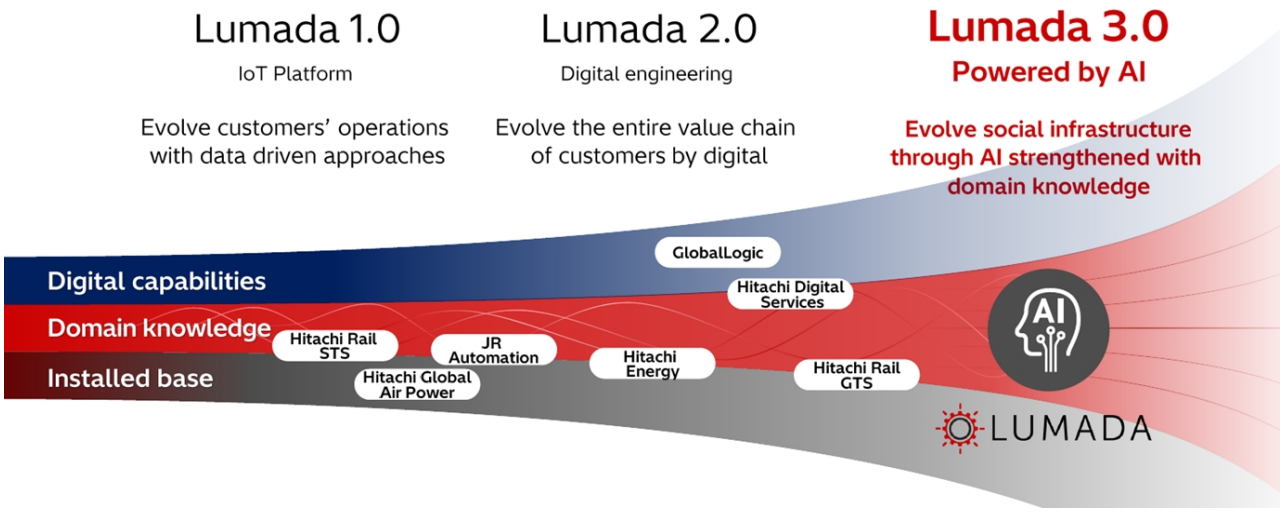
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 2: **Lumada expands growth beyond hardware by integrating IT × OT × Products with AI**



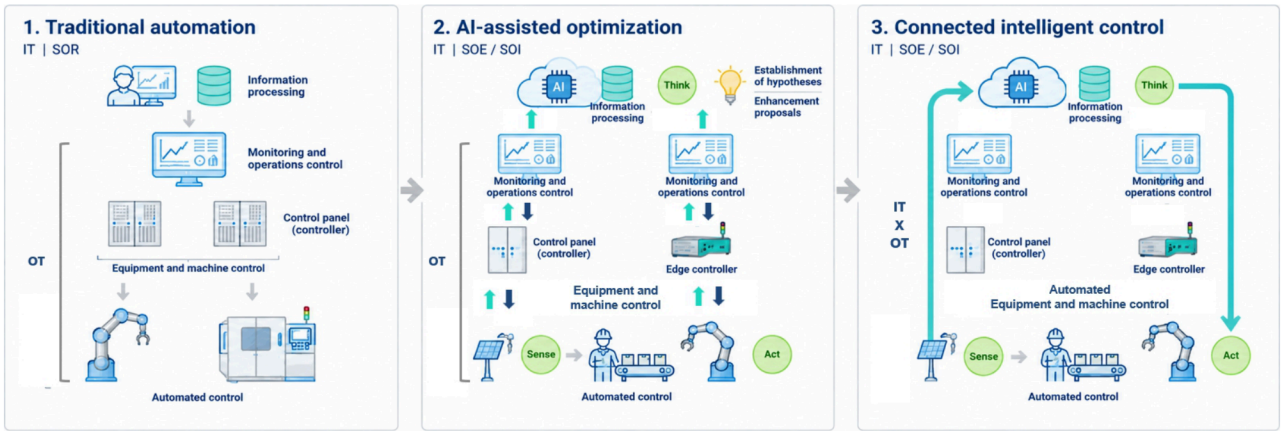
Source: Company reports, Bernstein analysis

EXHIBIT 3: **Lumada is Hitachi's go-to strategy to drive digital innovation within its installed base of hardware and system products**



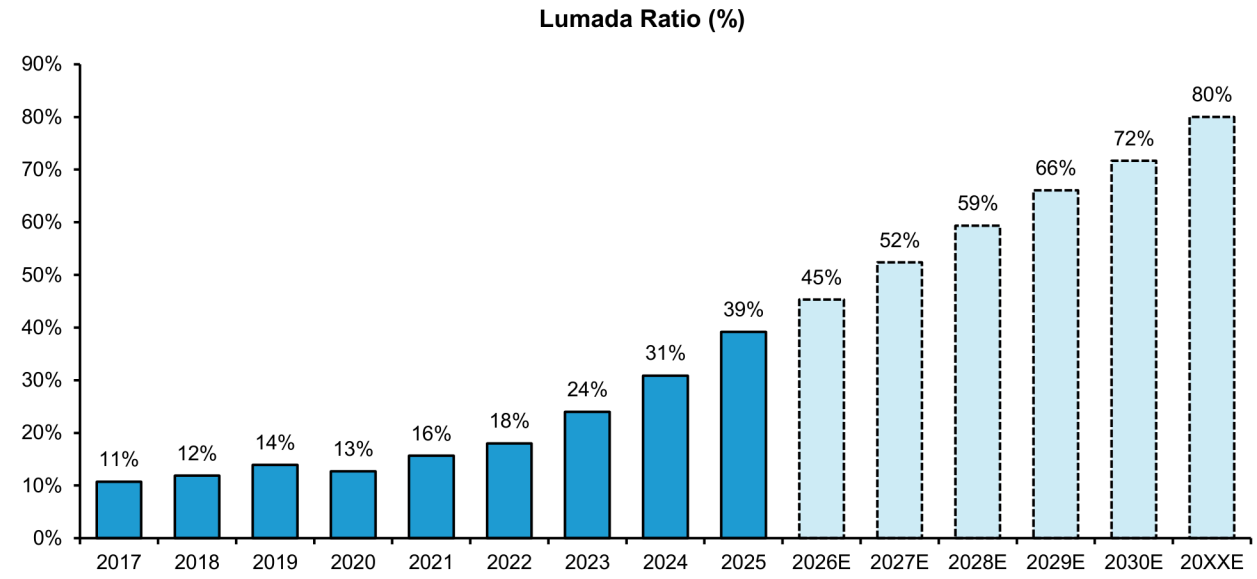
Source: Hitachi

EXHIBIT 4: **The evolution of OT toward Physical AI**



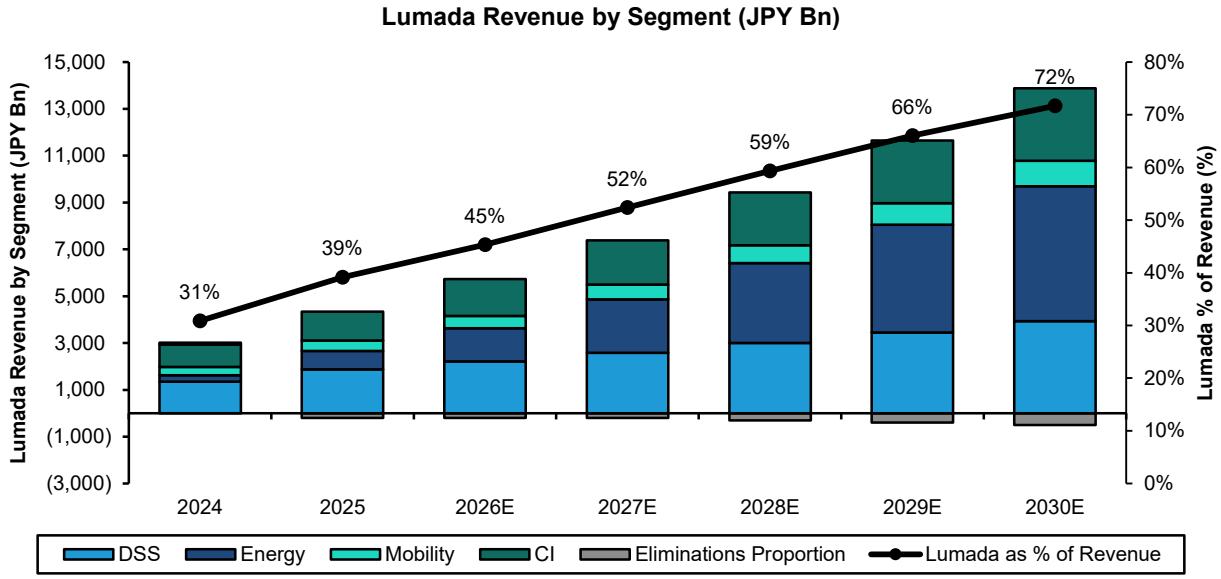
SOR: System of Records, SOE: System of Engagement, SOI: System of Insight
Source: Hitachi, Bernstein analysis

EXHIBIT 5: **We expect Lumada ratio to accelerate in the next 3-5 years to 70+% with the company targeting for 80% in the long run**



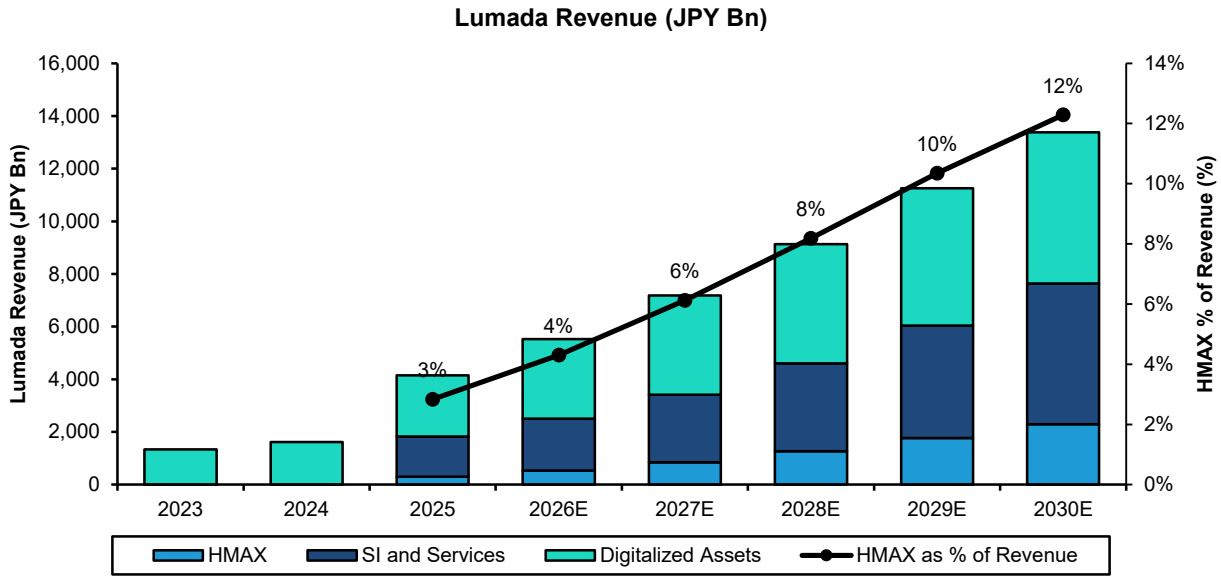
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 6: **Energy and Mobility will drive the next phase of Lumada**



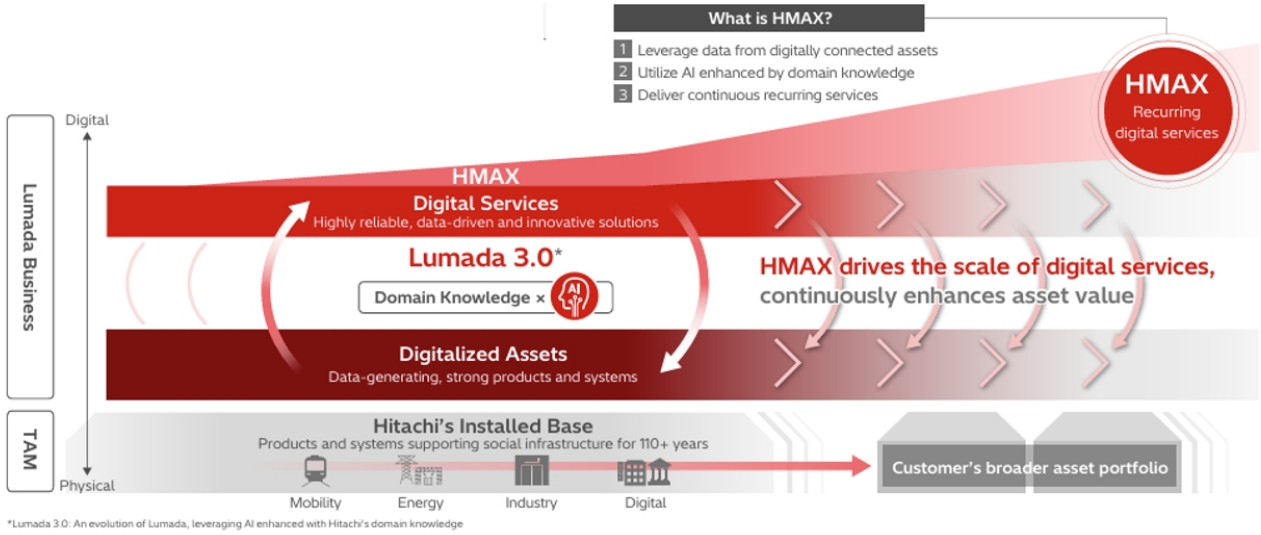
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 7: **Lumada incorporates Digitalized Assets and Digital Services (HMAX, SI and Services) as main segments where Digital Services are incremental driver to the Lumada Strategy**



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 8: **HMAX is the tangible implementation of Lumada as a digital solution**



Source: Hitachi

HMAX: TURNING OPERATIONAL DATA INTO COMMERCIAL DIGITAL SOLUTIONS

HMAX is the digital solution core of Lumada 3.0, and we see room for broader adoption particularly in Energy. HMAX integrates data from installed assets with AI-driven analytics to improve predictive maintenance and asset management. While adoption is currently concentrated in Connective Industries, particularly elevator operations, we see significant expansion potential in Rail and Energy, where penetration remains low despite the critical need for maintenance efficiency and failure prevention. HMAX has demonstrated benefits in selected applications, including a 90% reduction in HVDC incident response time, a 60% reduction in transformer downtime, and a 16% reduction in building energy consumption. We believe these benefits can support broader adoption across Hitachi's installed base, generating richer operational data to further enhance its AI capabilities and scale Digital Services revenue. Over time, this could expand Hitachi's revenue model beyond one-off equipment sales toward a larger contribution from recurring software and lifecycle services.

- **HMAX is built on a three-layer architecture comprising the Physical, Data Fabric, and Presentation layers, connecting physical assets, OT, IT, and digital applications.** The Physical Layer senses operating conditions through connected assets and supports data processing through edge computing and data centers. The Data Fabric Layer integrates operational and external data and supports analytics, AI, and HMAX applications. The Presentation Layer delivers insights to users and operational workflows. Together, these layers support a continuous **"Sense–Store–Think–Act" cycle**, linking equipment conditions to maintenance and operating decisions. Actions range from recommendations to more automated responses, depending on the application and its operating requirements (*Exhibit 9*).

- **HMAX's solution portfolio combines four foundations: Hitachi's installed base, deep domain knowledge, AI capabilities, and its technology partner ecosystem.** Partners include NVIDIA (covered by Stacy Rasgon) and OpenAI. Hitachi combines these capabilities with frontline data and customer-specific implementation to improve mission-critical operations.

- **HMAX Foundry Solutions provide shared capabilities for deployment across industries.** HMAX Data Fabric, HMAX AI Operations, and HMAX Cyber combine common digital infrastructure with industry-specific applications. Reusing these components could improve development efficiency and support broader deployment, although customer-specific integration and ongoing support will continue to influence profitability. The revenue mix may include implementation work, software, and ongoing services, rather than exclusively recurring software income *(Exhibit 10)*.

- **Building on this common foundation, Hitachi plans to expand HMAX across industries by integrating customer-specific data and domain knowledge.** The portfolio spans Mobility, Energy, and Industry and is expanding into additional domains, including Data Center and Finance. Ultimately, Hitachi aims to move beyond individual-asset optimization toward the integrated optimization of connected infrastructure systems. **Established applications provide a starting point, while newer domains represent additional opportunities whose commercial contribution remains to be**

demonstrated (*Exhibit 11*).

- **HMAX Energy combines power-equipment expertise, operational data, and AI to improve the reliability and efficiency of critical energy infrastructure.** By collecting data from sensors installed on equipment, Hitachi can support grid planning, identify potential failures, and inform preventive maintenance. Its "Plan–Predict–Prevent" framework aims to reduce equipment failures, enable faster responses to emerging issues, and lower maintenance costs. Hitachi cites a 90% reduction in incident response time at Baltic Cable through digital twins, a 60% reduction in transformer downtime in a selected application, and a 35% reduction in inspection time at ERG through digitalized switchgear. **These are application-specific outcomes, rather than uniform results across deployments.** Increasing grid complexity, reliability requirements, and the need to preserve experienced personnel's operational know-how strengthen the customer rationale for digital solutions. The commercial opportunity is to convert those benefits into paid monitoring, software, and lifecycle-service contracts *(Exhibit 12-Exhibit 14)*.

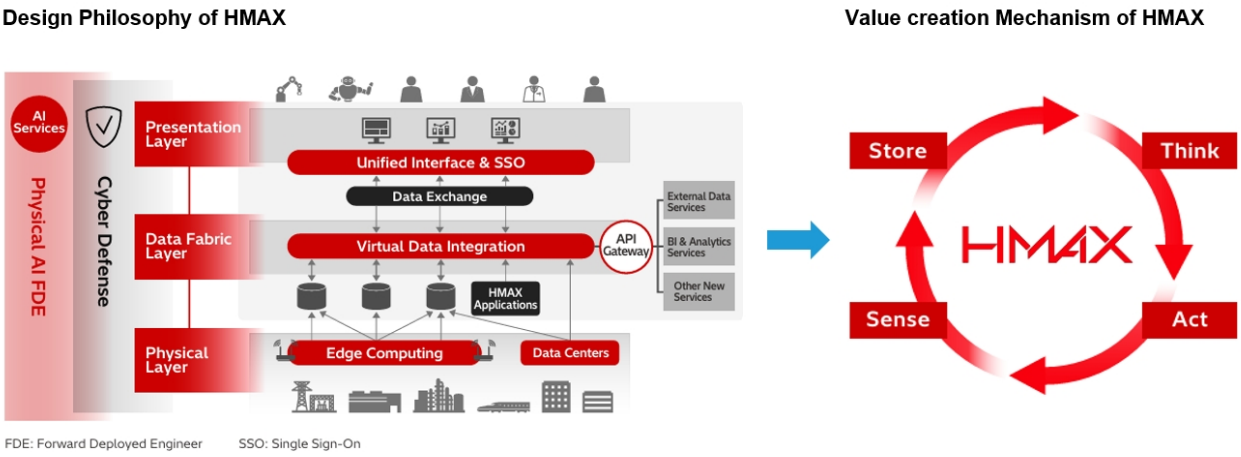
- **HMAX Mobility demonstrates how Hitachi can monetize operational data and domain expertise beyond the initial equipment sale and beyond its own manufactured assets.** HMAX for trains uses sensor data to assess component lifecycles, reduce energy consumption, and optimize maintenance, with potential maintenance and energy cost reductions of up to 15%. HMAX for rail infrastructure uses onboard train sensors to monitor railway infrastructure, detect early signs of deterioration, and support preventive action. HMAX for signaling applies Hitachi's expertise and data from railway signaling systems to improve operational efficiency and maintenance. Hitachi reports deployment across more than 2,500 trains, approximately 35% of which are non-Hitachi fleets. This broadens the potential customer base beyond its own equipment. The company identifies an approximately JPY3.0tn addressable opportunity for HMAX for Rail and reports a JPY600bn global HMAX pipeline as of June 2026 *(Exhibit 15)*.

- **HMAX Industry combines Hitachi's industrial domain expertise with customer data and AI to improve equipment performance and operational workflows.** One example is BuilMirai, which collects data from elevators, facility-monitoring systems, video security, and HVAC equipment and integrates them into a unified monitoring environment. Hitachi estimates potential reductions of 16% in building energy consumption and 3% in maintenance costs. Hitachi is also applying digital capabilities to healthcare analyzers, testing, and process automation. The company reports a 10x productivity improvement in one process-automation use case, **an application-specific result rather than a portfolio-wide expectation**. Under its "Customer Zero" model, Hitachi uses its own production facilities to validate operational and financial benefits before expanding solutions to customers. This provides a route to test implementation requirements and establish which applications can be replicated commercially *(Exhibit 16)*.

- **Hitachi recently launched HMAX Data Center, combining its capabilities across power, cooling, and IT infrastructure to support integrated data center operations.** HMAX Data Center provides integrated monitoring of multivendor infrastructure and uses AI-powered anomaly detection and cross-domain analysis to identify potential equipment issues, assess their operational impact, and recommend corrective actions. Initially launched in North America in September 2026, the offering is planned to expand into energy optimization, cooling efficiency, predictive maintenance, IT workload optimization, and capacity management, supporting a longer-term move toward more automated operations *(Exhibit 17)*.

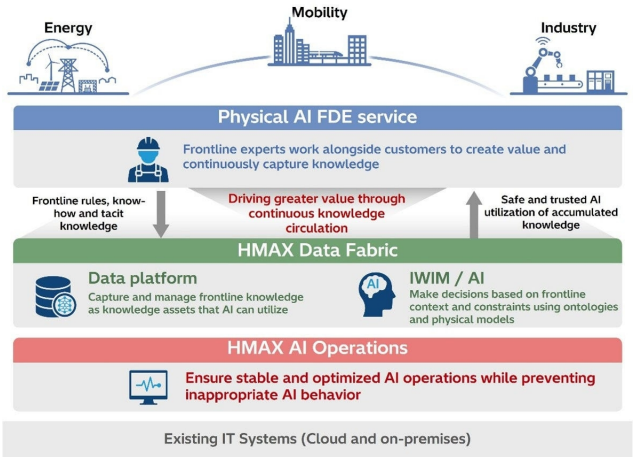
HMAX's ability to improve customer operations creates opportunities to expand Hitachi's software and lifecycle-service revenue. By reducing downtime, improving maintenance efficiency, and lowering energy consumption, HMAX can deepen equipment relationships and support additional applications. Deployment experience can further strengthen these offerings. We see this as a route to capture more value from Hitachi's installed base and improve its services mix. The next section connects this opportunity to our revenue and profitability forecasts. (*Exhibit 18*).

EXHIBIT 9: **HMAX connects Physical Assets, Data and AI in a continuous Sense-Store-Think-Act Cycle**



Source: Company disclosures, Bernstein analysis

EXHIBIT 10: **Recently announced HMAX Foundry Solutions will enable HMAX to scale across industries through a common architecture**



Source: Hitachi

EXHIBIT 11: **Hitachi is expanding the HMAX portfolio into new industries by combining cross-domain Foundry Solutions with industry-specific domain knowledge**



Source: Hitachi

EXHIBIT 12: **For Energy, HMAX solutions can be classified under 3 buckets, with asset maintenance a larger portion today**



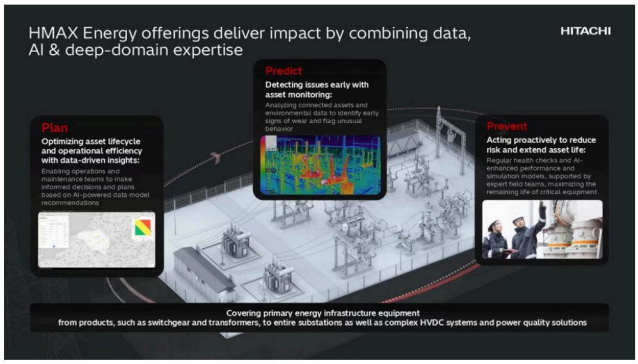
Source: Company disclosures, Bernstein analysis

EXHIBIT 13: **Examples of Hitachi's digital solutions integrated in Energy segments**



Source: Hitachi

EXHIBIT 14: **HMAX Energy leverages data and AI to reduce energy losses, prevent equipment failures and lower maintenance costs through its "Plan, Predict and Prevent" framework**



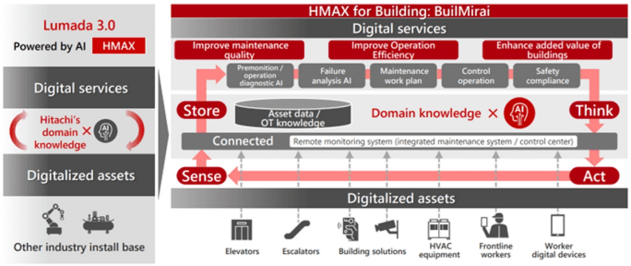
Source: Hitachi

EXHIBIT 15: **HMAX Mobility optimizes maintenance across the entire railway ecosystem, including trains, rail infrastructure and signaling systems**



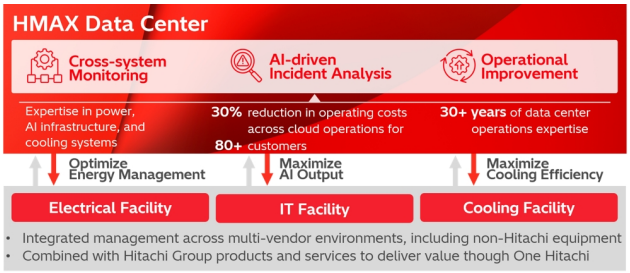
Source: Company disclosures, Bernstein analysis

EXHIBIT 16: **Hitachi applies Physical AI across connected building assets to improve maintenance and energy efficiency**



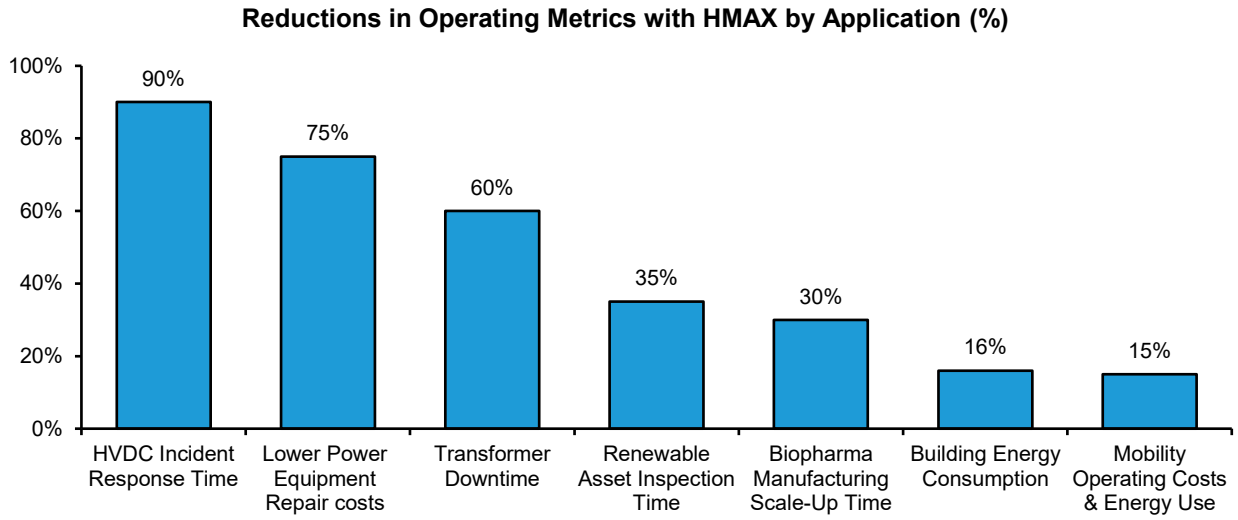
Source: Hitachi

EXHIBIT 17: **Hitachi expands its HMAX area into data centers where they have strong capabilities across power, cooling, and IT infrastructure**



Source: Hitachi

EXHIBIT 18: **Data and domain know-how strengthen the hardware moat and expand the installed base assets**



Source: Company reports, Bernstein analysis

FROM INSTALLED BASE TO EARNINGS: HOW DIGITAL ADOPTION IMPROVES REVENUE MIX AND MARGINS

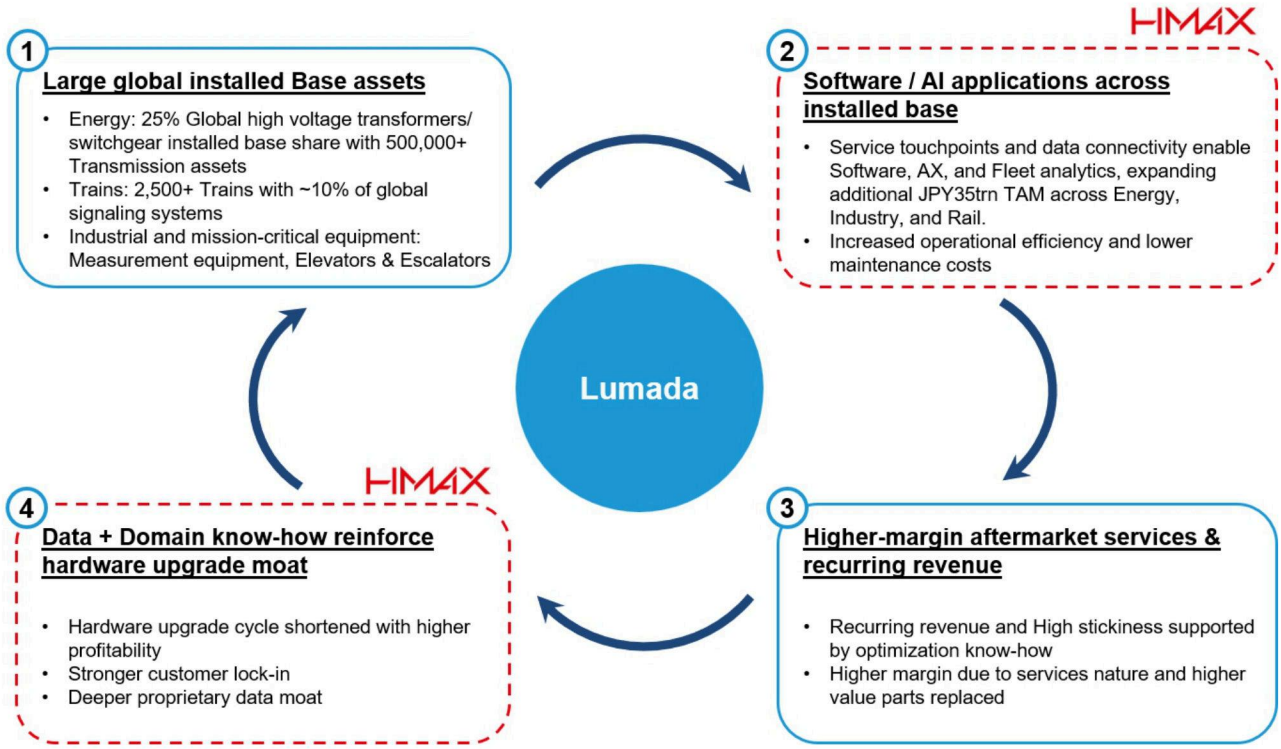
In our initiation report, we outlined the four-step mechanism of the Physical AI Flywheel: a large mission-critical installed base creates the platform; software and AI unlock additional value from those assets; AI-enabled services can convert that value into higher-margin recurring revenue; and data and domain know-how reinforce the hardware moat. **We believe Hitachi represents a best-in-class implementation of this model** *(Exhibit 19)*.

- **Hitachi is exposed to a broad range of Physical AI opportunities through its mission-critical infrastructure and industrial equipment businesses across Energy, Mobility, and Connective Industries.** In Energy, Hitachi cites more than 500,000 assets, approximately one-quarter of global high-voltage switchgear, and relationships supporting 50% of the top 250 electric utilities, providing a strong foundation for expansion into software, monitoring, optimization, and lifecycle services. In Mobility, HMAX has been deployed across more than 2,500 trains, while more than 26,000km of rail lines are equipped with Hitachi signaling worldwide, creating opportunities in predictive maintenance and operational optimization. Hitachi is also leveraging its positions in semiconductor measurement, healthcare diagnostics, and building systems to expand into adjacent software, applications, and services *(Exhibit 20).*

- **Hitachi's extensive installed base provides a platform for software and AI to unlock additional value beyond the initial equipment sale.** Across Energy, Mobility, and Industry, the company identifies an addressable opportunity of **JPY36tn**, comprising JPY15tn in grid maintenance services, JPY10tn in industrial frontline applications, JPY8tn in data center energy solutions, and JPY3tn in railway AI. By embedding software and AI into its installed base, Hitachi can address broader customer needs and expand its software and lifecycle-service revenue. **This makes the Lumada thesis more concrete than generic AI adoption: the value proposition is downtime reduction, maintenance optimization, energy efficiency, and productivity improvement.** By scaling Lumada across its businesses, Hitachi targets a 50% share of group revenue by FY2027 and 80% over the longer term *(Exhibit 21, Exhibit 22).*

- **AI and software-enabled services can improve revenue mix, increase recurring revenue, and support margin expansion.** Energy and Rail illustrate how equipment relationships can extend into ongoing services. Our model assumes Energy's software and services share increases from 25% in FY2024 to 32% in FY2030E, while Rail's control and vehicle services share rises from 19% in FY2021 to 41% in FY2030E. **The earnings opportunity comes from both a richer services mix and more efficient delivery as applications are reused across deployments.** The bull case is that Lumada and HMAX translate installed-base data and domain expertise into a larger contribution from recurring monitoring, diagnostics, maintenance, and optimization services across multiple Hitachi businesses *(Exhibit 23, Exhibit 24)*.

EXHIBIT 19: **Hitachi represents a best-in-class implementaion of Physical AI Flywheel**



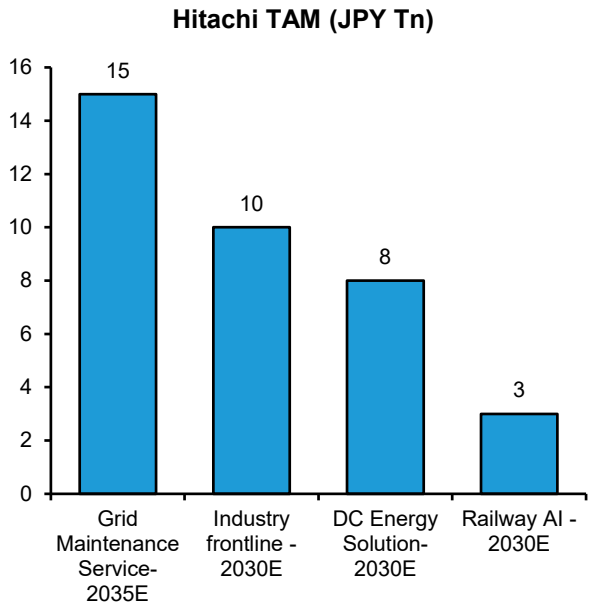
Source: Bernstein analysis

EXHIBIT 20: **Hitachi holds a large global installed base assets across mission-critical infrastructure and equipment**



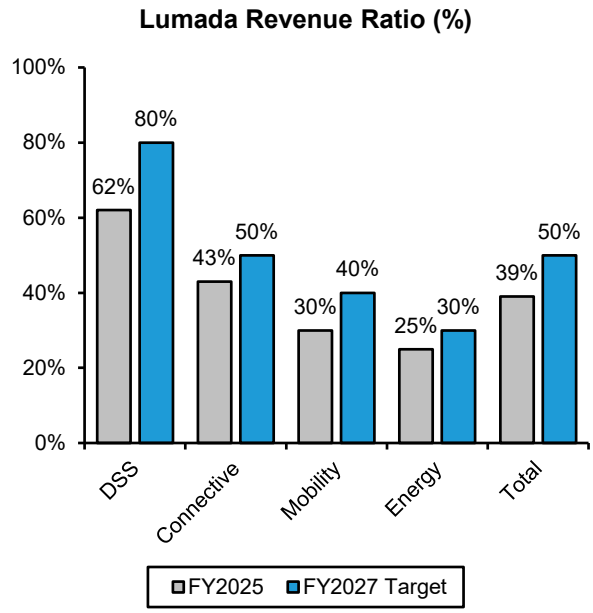
Source: Company disclosures, Bernstein analysis

EXHIBIT 21: **Hitachi estimates a Physical AI Software Application TAM of Up to ~JPY35Tn across Energy, Mobility, and Industry**



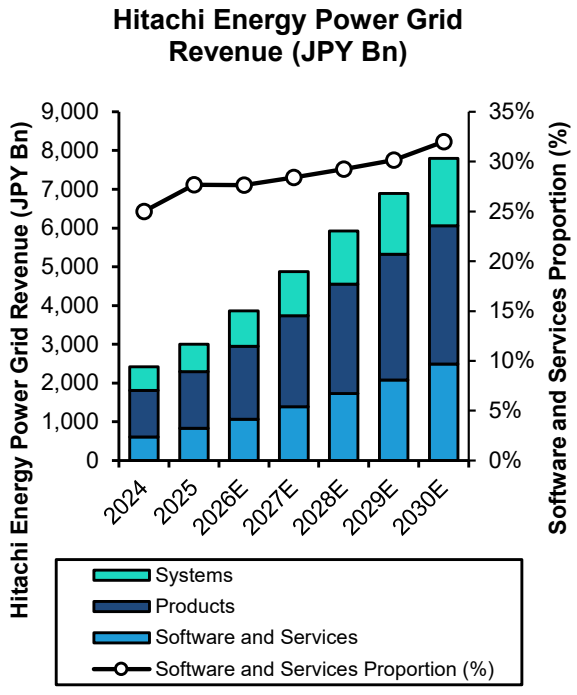
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 22: **Hitachi targets to expand Lumada across its installed base, raising its revenue mix to 50% by FY2027**



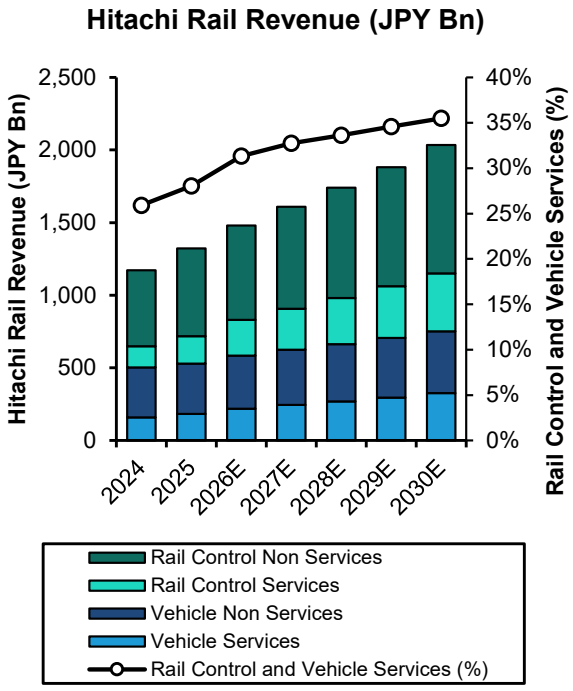
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 23: **Software and Services for energy grid will hence experience faster growth in the energy super cycle**



Source: Company disclosures, Bernstein estimates and analysis

EXHIBIT 24: **As such, services will be the key driver and take larger segment of the rail business**



Source: Company disclosures, Bernstein estimates and analysis

DSS AND GLOBALLOGIC: DOMESTIC GROWTH AND GROUP-WIDE DIGITAL EXECUTION

GlobalLogic integration uplifts DSS know how for SI and Lumada execution. The GlobalLogic integration is key to Hitachi's digital transformation. GlobalLogic has strengthened Hitachi's DSS business and HMAX AI Integration with systems integration, data cleaning and customization know how, and experiences. We see Domestic IT services as the main driver of DSS while GlobalLogic expands its synergies to other businesses across Hitachi from 29% in 2023 to >100% in 2025. Additionally, AI is likely to create new opportunities for System Integrators especially in Japanese highly customized IT industry.

- **AI is more likely to create new opportunities for Hitachi's Digital business than to displace it by accelerating the shift toward recurring digital services.** AI is creating real pressure on IT services as shorter development cycles reduce billable hours, but Hitachi's domestic IT business is more defensible given its role in designing, integrating and operating mission-critical systems. Japanese companies rely heavily on external SI vendors and often lack the internal capabilities to implement and maintain complex AI systems. AI adoption also requires legacy modernization, cloud migration and data integration, creating opportunities for Hitachi to expand project volumes and deepen customer engagement. **Over time, Hitachi aims to use modernization as an entry point for HMAX, shifting from one-off system integration toward continuous optimization and recurring digital services**

- **Japan's heavy dependence on external IT service providers makes domestic SI demand more resilient to AI disruption and creates new opportunities.** System integrators in Japan, commonly known as SIers, act as prime vendors that understand clients' business processes and take responsibility for the full system lifecycle, from requirements definition and architecture design to implementation and maintenance. Most Japanese enterprises and government have limited internal development capabilities and therefore rely heavily on external providers. Around 74% of IT professionals are employed by IT vendors, while only 26% work within user companies, and internally developed software accounts for approximately 28% of overall software usage. SIers procure software, cloud and AI technologies from third-party vendors, customize them for individual customer environments, and combine them with their own solutions to deliver integrated offerings. As digital and AI technologies become more sophisticated, the complexity of integrating them with customers' existing systems and business processes should further strengthen the role of SIers *(Exhibit 26 - Exhibit 34).*

- **GlobalLogic is Hitachi's stepping stone to improve its digital know-how and produce synergies to other business division.** GlobalLogic was acquired to strengthen Hitachi's portfolio and create synergies across Hitachi's business divisions. GlobalLogic grants Hitachi the know how and experience in digital engineering, systems integration and customization to integrate HMAX software with data into its installed base. Hitachi has further acquired Synvert, a German data and AI services firm, to accelerate Agentic AI and Physical AI development specifically targeting HMAX with expertise in harnessing data for AI integration. We see GlobalLogic synergies contributing from just 29% in 2Q23 to 173% in 4Q25 *(Exhibit 35).*

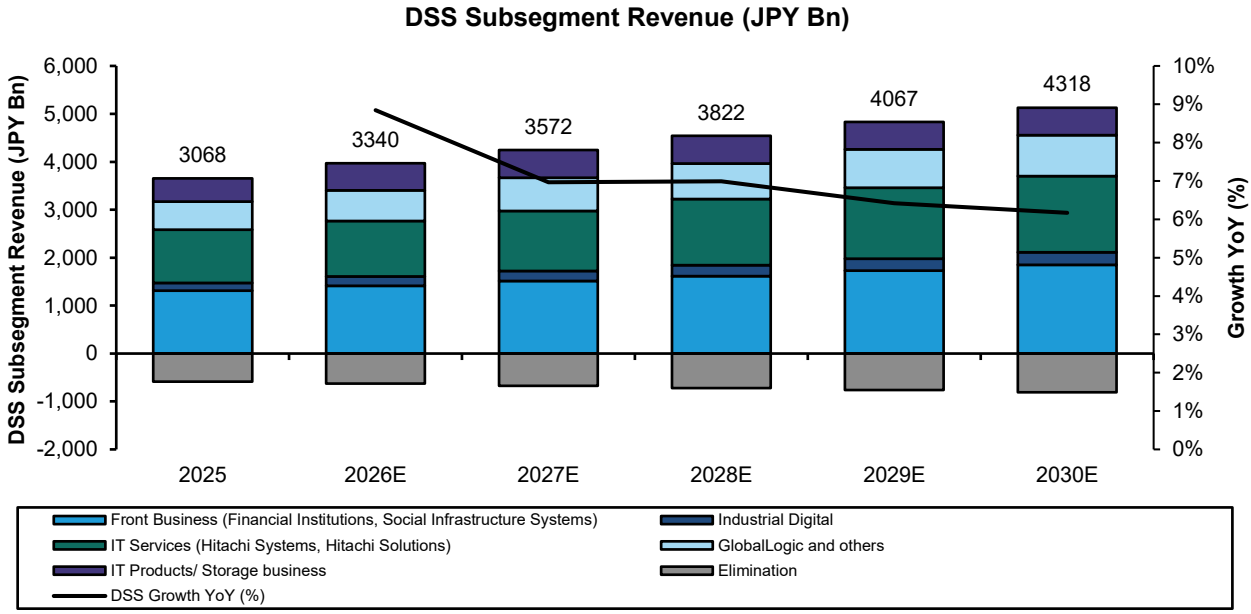
- **GlobalLogic is more exposed to AI driven disruption, but we still see Hitachi's DSS to be mainly driven by domestic IT services.** As GlobalLogic's main business has focused on designing and developing software rather than building and operating core systems, its standalone software engineering business is more directly exposed to AI-driven disruption. Hitachi is responding by integrating GlobalLogic with Hitachi Digital Services to increase scale and strengthen its global delivery capabilities. The combined organization is also expanding GlobalLogic's involvement in internal Lumada and HMAX projects to help offset pressure on external software engineering demand. By contrast, Hitachi's domestic IT business should be more resilient, given its deeper involvement in the design, integration and long-term operation of mission-critical systems. As Domestic business takes a larger proportion of IT services business at 80%, growing at 8.3%YoY vs 1.4%YoY for overseas, we still see Hitachi's DSS to be mainly driven by domestic IT services *(Exhibit 25, Exhibit 36, Exhibit 37).*

- **Modernization is the first step in AI adoption and should create new opportunities for Hitachi to generate additional customer value through proprietary solutions in mission-critical sectors.** To adopt AI, governments and enterprises must preserve their mission-critical core systems while connecting internal data with AI models and applications, requiring a deep and ongoing understanding of both legacy systems and emerging AI technologies. Even after modernization, AI applications must be continuously integrated with internal data, monitored and updated as business processes and operating conditions evolve. These activities require deep domain knowledge and a long-standing understanding of customers' systems and operations. Hitachi is therefore well positioned to capture post-modernization opportunities by combining its strengths in social infrastructure with its proprietary HMAX solutions.

- **Hitachi aims to use modernization projects as a gateway to HMAX adoption and reposition itself as a recurring digital solution player, leveraging AI to create new growth opportunities.** By combining modernization services with HMAX, they can turn customers' operational data into AI-ready assets and deploy industry-specific applications, extending

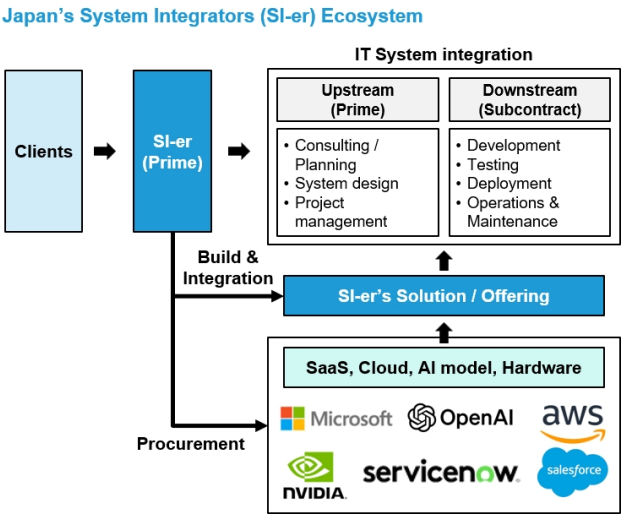
their role from initial system integration to ongoing operations and optimization. This should enable Hitachi to convert one-off SI projects into recurring digital revenue and capture a larger share of rising AI and modernization demand as they target JPY3-5tn in domestic revenue by FY2030.

EXHIBIT 25: **Overall DSS is still expected to grow at 6-7% CAGR uplift by Domestic Japanese IT Services demand**



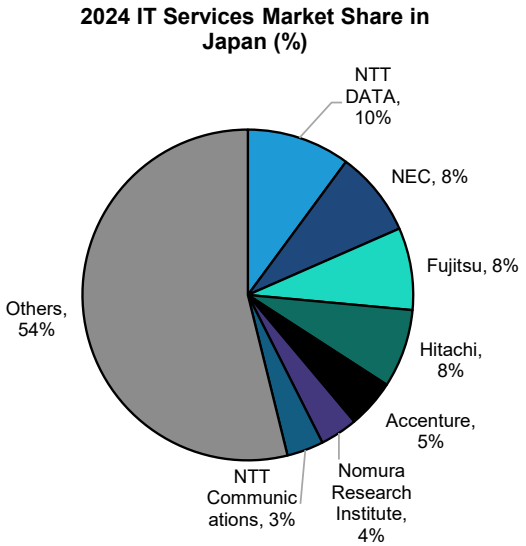
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 26: **Japan's IT market has evolved around SIers, which handle most system development and integration on behalf of their clients**



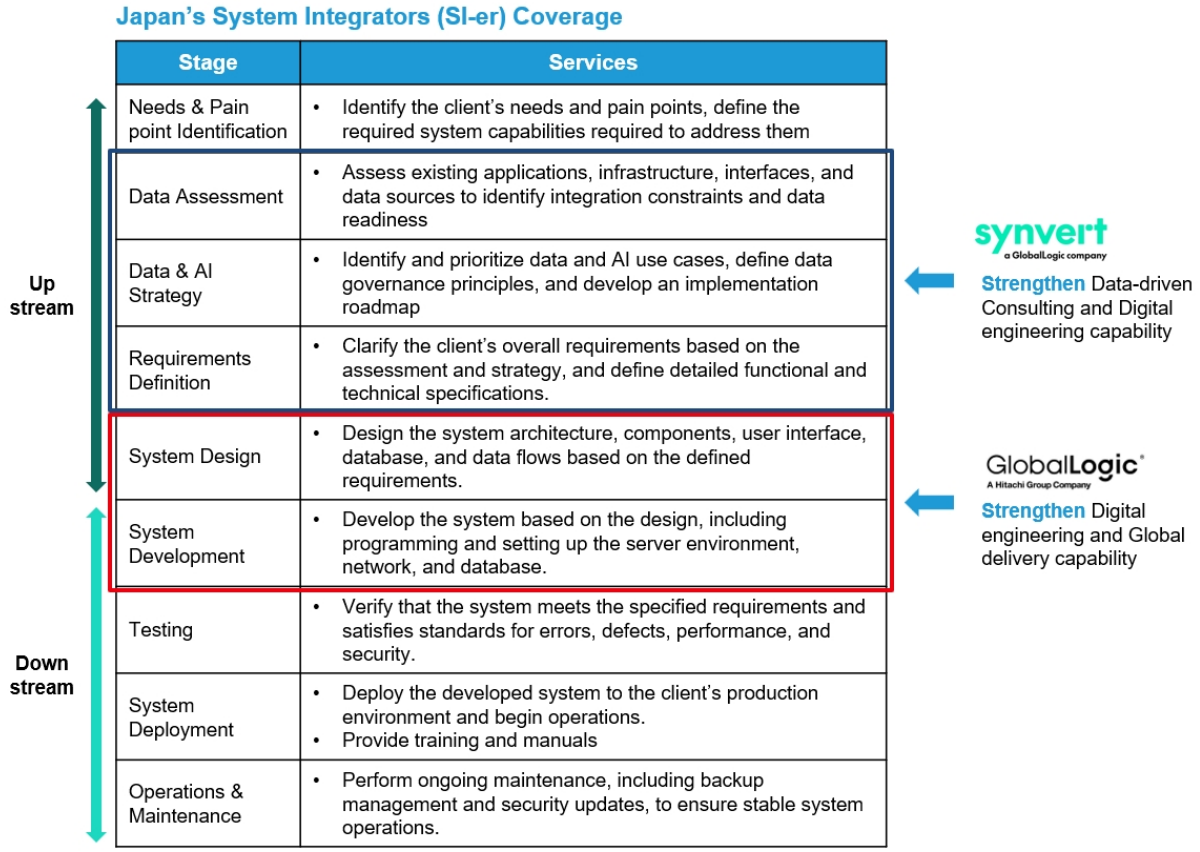
Microsoft and Salesforce are covered by Mark Moerdler, Amazon is covered by Mark Shmulik, NVIDIA is covered by Stacy Rasgon Servicenow is covered by Peter Weed; OpenAI is not listed
Source: Company websites, Bernstein analysis

EXHIBIT 27: **Hitachi is one of Japan's key system integrator player focusing on Social Infrastructure, and Industrials**



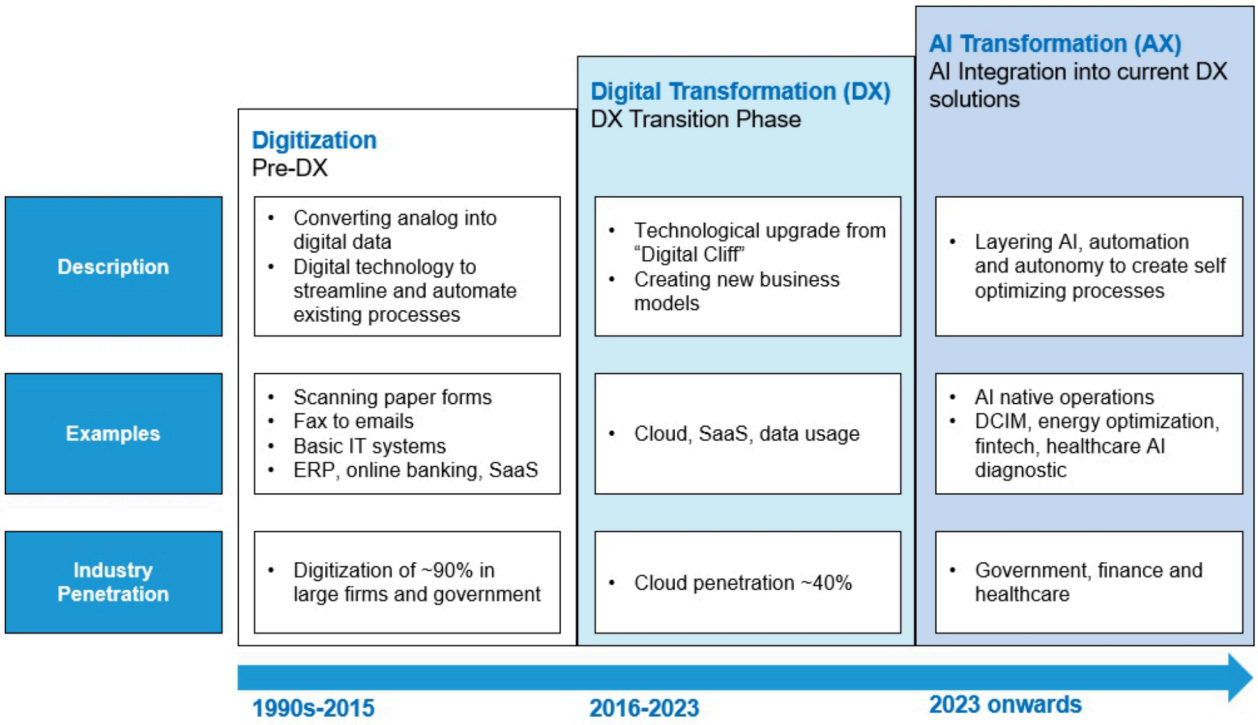
Fujitsu, NRI and Accenture are not covered by Bernstein; NTT Data and NTT communications are not listed
Source: Gartner, Bernstein analysis

EXHIBIT 28: **Hitachi enhanced its End-to-End capabilities and global delivery footprint through the acquisition of GlobalLogic and Synvert**



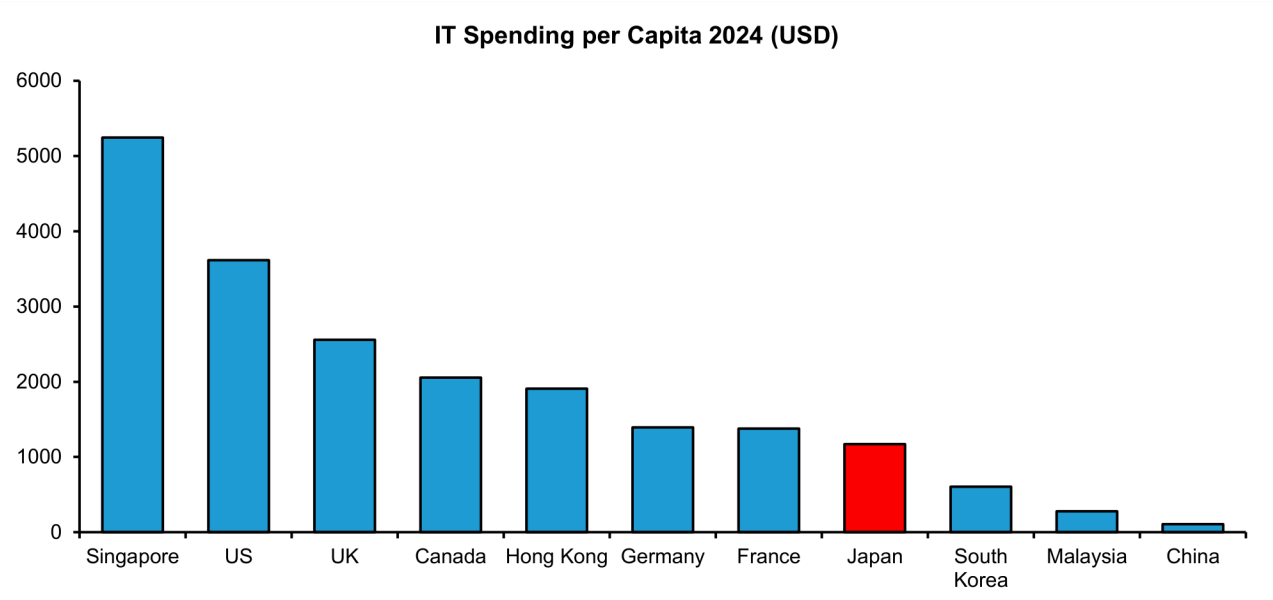
Source: Company disclosures, Bernstein analysis

EXHIBIT 29: **Japan is moving from DX to AX, with AI integration becoming the next operating layer for Physical AI**



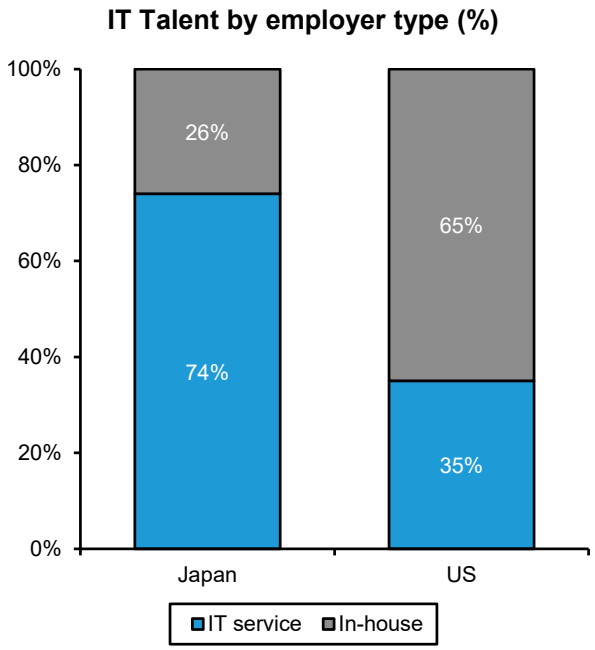
Source: Company reports, Bernstein analysis

EXHIBIT 30: **Japan has room to catch up in IT spending, creating a multi-year opportunity for IT services companies**



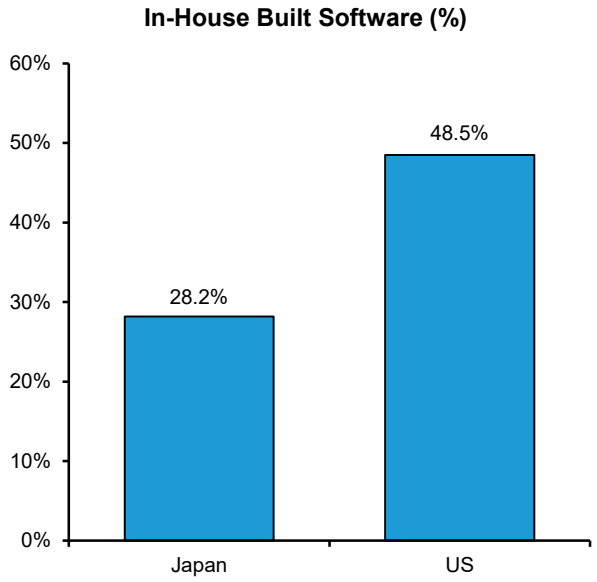
Source: Gartner, Bernstein analysis

EXHIBIT 31: **Japan's shortage of in-house IT talent reinforces reliance on IT service providers**



Source: IPA, Bernstein analysis

EXHIBIT 32: **Japan's lower in-house software base structurally increases the role of system integrators and IT services partners**



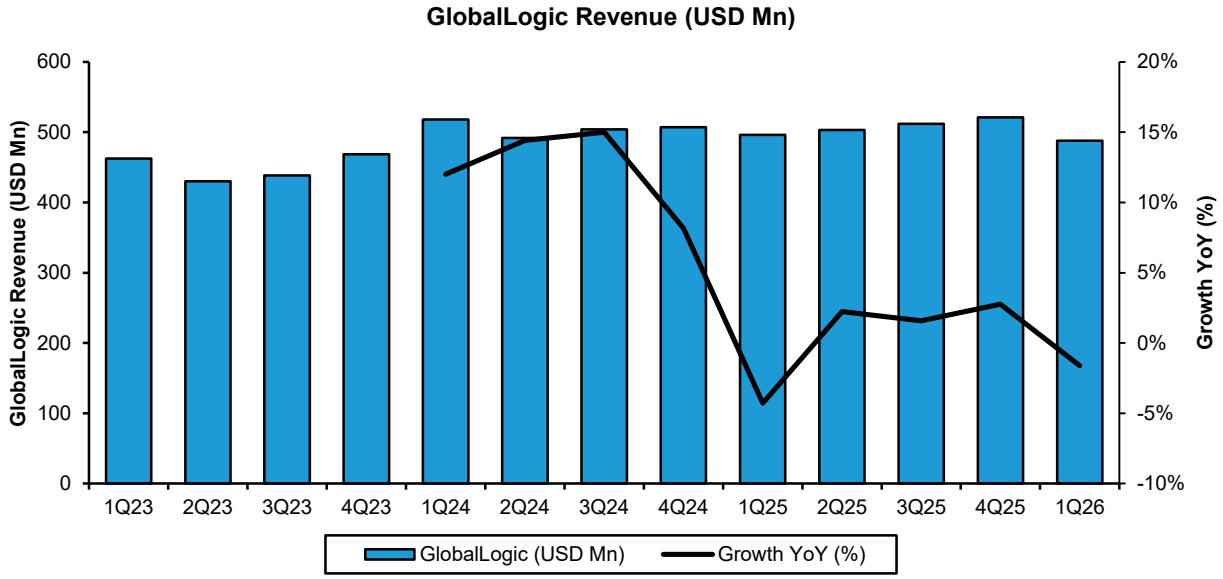
Source: Fuji Keizei, Bernstein analysis

EXHIBIT 33: **Government and financials are likely to lead early AX spending, providing visible demand for domestic IT service leaders**

		Detail	Expected Spending
Government		• Digital Agency, established in 2021, is driving government-wide DX with spending focused on AI adoption, government cloud, and shared digital infrastructure • Digital infrastructure expansion is planned through 2030E, including data centers, cloud, 5G, fiber networks, and next-generation communications	FY25: JPY 475Bn FY26E: JPY 520Bn
Financials	**SMFG (SMBC)**	• Plans to invest JPY1Tn in IT over the next three years to accelerate IT transformation, cloud migration, and generative AI adoption • Collaborates with NEC to advance secure AI adoption and financial-service innovation	FY26E - FY28E JPY 1,000Bn
	MUFG (MUFJ)	• Group-wide DX and data functions integrated into Digital Strategy Division • AI-native transformation with OpenAI, Sakana AI, and LayerX	Not Disclosed
	MFG (Mizuho)	• Accelerates digital and AI adoption through JPY100Bn digital investment and Google Cloud partnership • Builds internal AI capabilities through dedicated Digital / AI teams and in-house generative AI tools	FY26E - FY28E JPY 100Bn

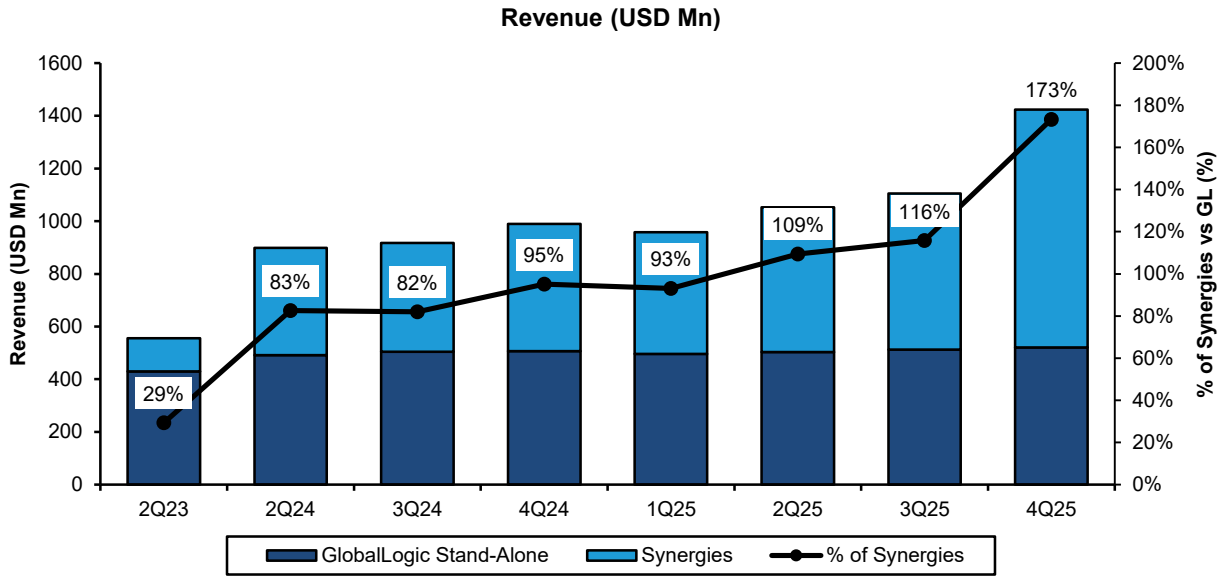
Sumitomo Mitsui Financial Group, Mizuho and Mitsubishi UFJ Financial Group are covered by Hideyasu Ban.
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 34: **GlobalLogic to likely stay flat as it is less competitive internationally**



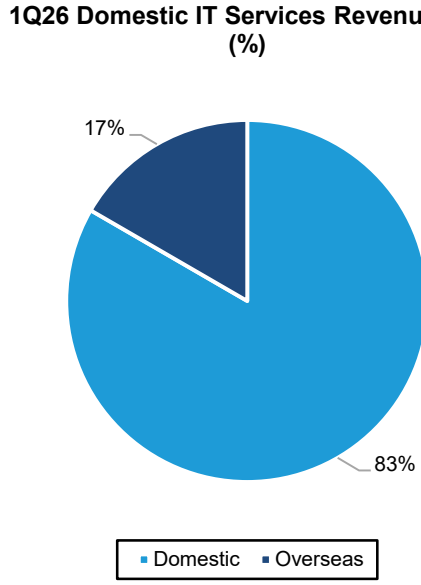
Source: Company reports, Bernstein analysis

EXHIBIT 35: **However, it acts as a platform to develop Lumada related digital services and software for other segments of Hitachi business globally such as Energy and Mobility**



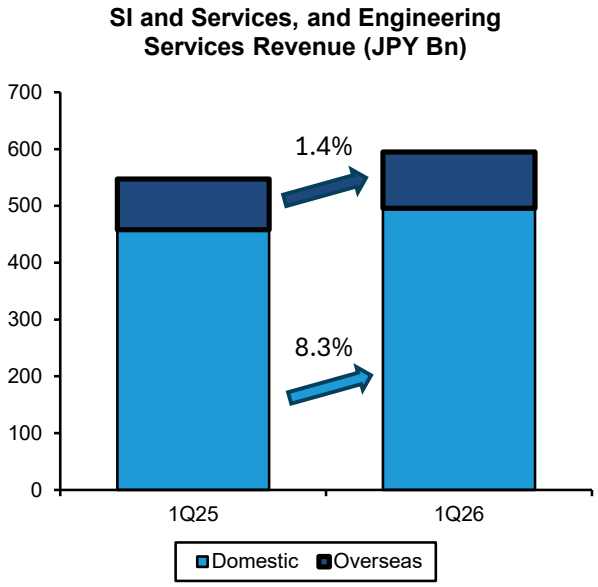
Source: Company reports, Bernstein analysis

EXHIBIT 36: **Overseas (GlobalLogic and Hitachi Digital Services) mix is only 20% of Hitachi's IT Services revenues which should not be detrimental to overall business despite its weakness**



Source: Company reports, Bernstein analysis

EXHIBIT 37: **Majority of IT Services revenues still depend on strong domestic demand**



Source: Company reports, Bernstein analysis

SEGMENT OUTLOOKS / DEEP DIVES: WHERE DIGITAL ADOPTION ENTERS OUR FORECAST

DSS: GROWTH FROM MODERNIZATION, WITH A BROADER ENABLING ROLE

DSS provides mission-critical system integration, modernization, and DX/AX service across financial institutions, public infrastructure, transportation, and industrial customers. Hitachi has a long history in digital services and holds a leading position in Japan's IT services market. In 2016, Hitachi launched Lumada as a common digital platform to connect the IT, OT, products, data, and domain expertise dispersed across its businesses to move beyond standalone products and services and provide integrated solutions across the group under its "One Hitachi" strategy. To strengthen its global delivery and digital engineering capabilities, Hitachi acquired GlobalLogic in 2021, adding digital product engineering, software development, and a broader global delivery platform. Hitachi now leverages these capabilities to expand Lumada and HMAX globally.

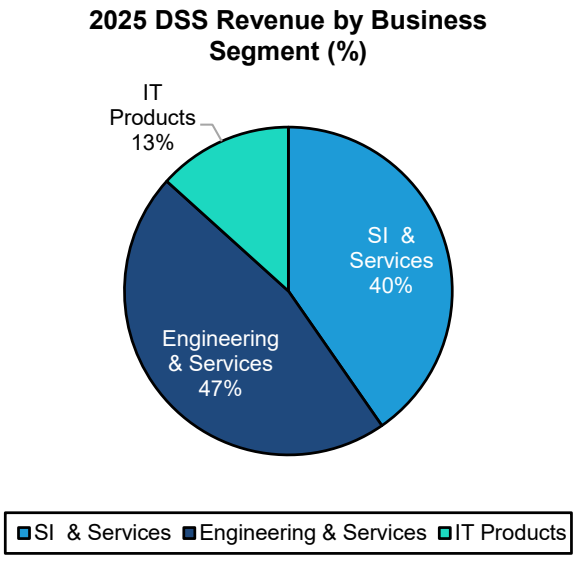
- **DSS consists of three main businesses: SI & Services, Engineering & Services, and IT Products.** SI & services designs, builds, and modernizes customer systems across mission-critical areas, including Financial, Social Infrastructure (Energy, Rail, and Public), and Industrial. Engineering & Services provides digital engineering, software development, cloud and AI capabilities through GlobalLogic, Hitachi Digital Servicies, and other subsidiaries, while also supporting the development and global deployment of HMAX and Lumada solutions across Hitachi Energy and Mobility. IT products includes storage and ATM business (Scheduled to be de-consolidated in 2026). Japan accounts for 80% of IT Services revenue, with overseas markets contributing around 20%. Hitachi's domestic IT services business is concentrated in mission-critical markets, with Industrial customers accounting for 42% of FY2025 revenue, Social Infrastructure for 38%, and Financial Institutions for 20% *(Exhibit 38, Exhibit 39)*.

- **Hitachi differentiates itself from traditional IT services companies through its roots in manufacturing and systems integration, supported by deep domain expertise accumulated across industrial and social infrastructure markets.** Hitachi has operated mission-critical infrastructure across energy, transportation, water, and public systems, as well as industrial businesses including electronics, machinery, and metals. This experience gives Hitachi a practical understanding of how physical assets, control systems, and operating processes work, allowing DSS to provide IT services that reflect customers' actual operational requirements. Hitachi's capabilities are particularly relevant in mission-critical infrastructure, where reliability, safety, and industry-specific knowledge are important barriers to entry.

- **AI adoption should expand rather than disrupt Hitachi's domestic DSS opportunity. Many Japanese enterprises rely on highly customized legacy systems developed over decades by IT services players, while shortages of experienced IT professionals make these systems increasingly difficult and expensive to maintain.** Before deploying AI at scale, customers need to modernize core systems, improve data availability, and establish an AI-ready IT foundation. We believe Hitachi's established customer relationships and experience will position Hitachi to capture this transition from traditional SI to modernization and AI services. Hitachi targets JPY 3-5Tn of revenue in Japan market by FY2030E *(Exhibit 40,[REFERENCE NOT FOUND])*.

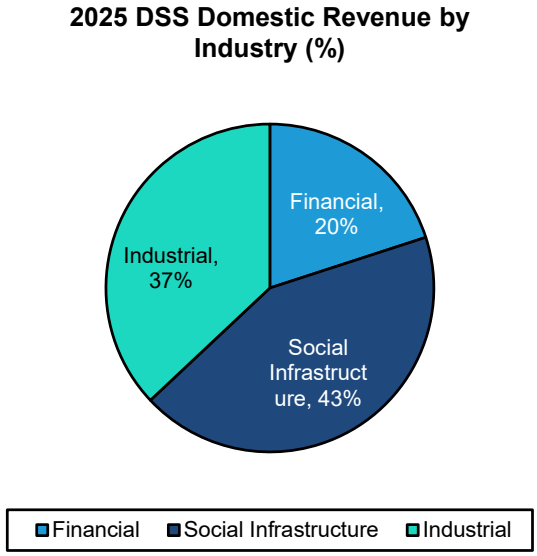
- **DSS serves as the software and digital layer of Hitachi's Physical AI strategy, connecting AI and data analytics with domain expertise and installed-base assets across the group.** By combining AI specialists with domain experts from Hitachi's installed-base businesses and integrating IT and OT data, DSS supports the deployment of Lumada and HMAX solutions across Energy, Mobility, and Connective Industries.

EXHIBIT 38: **Hitachi is a top-tier IT services player with capabilities spanning mission-critical systems integration and digital engineering.**



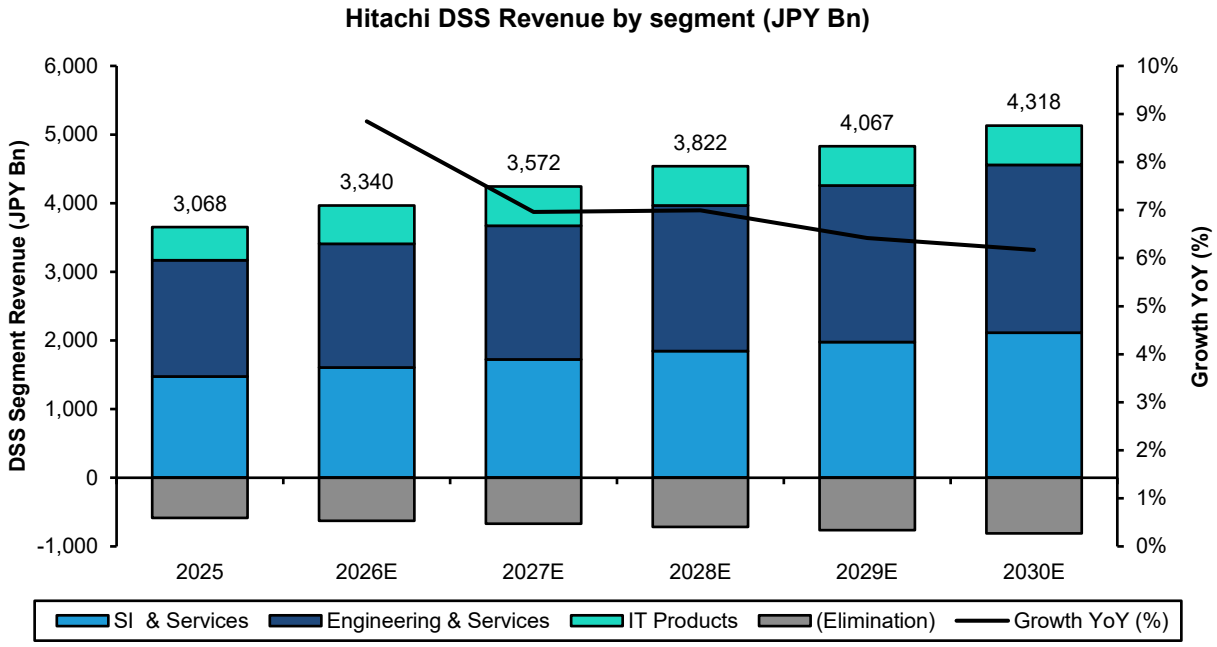
Percentages are based on sum of segment revenue before adjustments
Source: Company disclosures, Bernstein analysis

EXHIBIT 39: **Hitachi provides IT services across mission-critical industries**



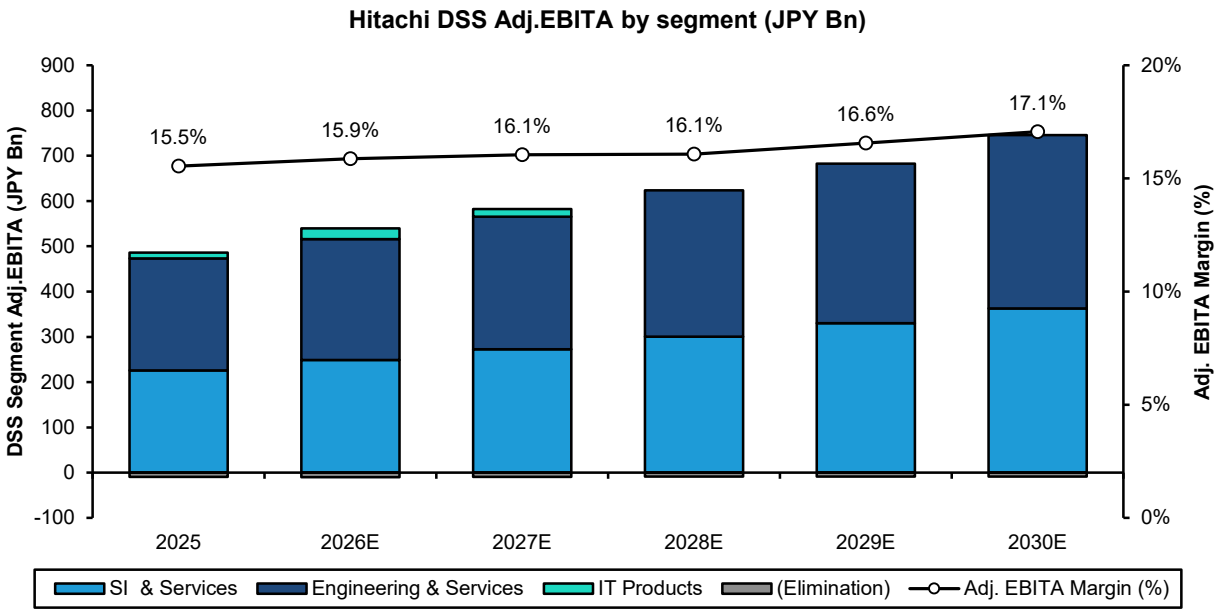
Social Infrastructure includes Public, Energy, Transportation, and Defense
Source: Company disclosures, Bernstein analysis

EXHIBIT 40: **DSS segment revenue is expected to grow by 7%, supported by modernization and AX demand**



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 41: **High-value-added AI services and productivity improvements will expand DSS margins**



Source: Company reports, Bernstein estimates and analysis

ENERGY: GROWTH ANCHOR WITH AN ADDITIONAL LIFECYCLE-SERVICE OPPORTUNITY

Energy is a core business segment for Hitachi, with a global top-tier position in critical grid infrastructure. We see Lumada and HMAX solutions as low hanging fruit to further improve margins as penetration is now low, contributing to Adj EBITA margin expansion from 13% in 2025 to 18% in 2030E. Hitachi provides high-voltage transformers, HVDC systems, grid automation, and systems integration, all of which are becoming key bottlenecks as electricity demand rises and renewable energy increases the complexity of power systems. Hitachi Energy's business is largely exposed to overseas

markets, particularly Europe and North America. Its order backlog of JPY 10.3Tn as of 1QFY26 provides multi-year revenue visibility, positioning Energy as Hitachi's clearest growth and cash-flow engine. **For more details, please see our deep dive: Hitachi Deep Dive: Powering the Physical AI Grid Supercycle (Part1)**

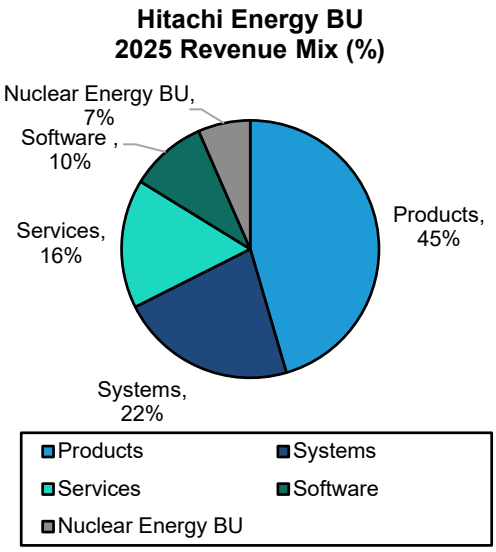
- Hitachi's Energy business has its roots in the company's long history as a power-equipment manufacturer in Japan. Hitachi developed capabilities across hydro, thermal, and nuclear power generation, and power transmission and grid systems, establishing a presence in Japan's domestic power market. In 2014, Hitachi integrated its thermal power generation systems business with Mitsubishi Heavy Industries to form Mitsubishi Hitachi Power Systems. **The strategic turning point came in 2018 with the acquisition of ABB's (Covered by Alasdair Leslie) Power Grids business, which added a global customer base, manufacturing footprint, and leading capabilities across power grid equipment.** The acquisition transformed Hitachi from a primarily domestic power-equipment supplier into a global top-tier grid infrastructure player.

- **Hitachi holds leading positions across key power grid infrastructure categories, particularly in high-voltage equipment, where high technical barriers and strict safety and reliability requirements favor a limited group of qualified suppliers.** By revenue, high-voltage transformers account for ~40%, followed by HVDC, Switchgear and equipment ~25%, grid integration ~20%, and grid automation ~10%. This exposure to critical and technically demanding grid equipment strengthens Energy's role as both a cash-flow engine and an important installed-base platform for Hitachi's Physical AI strategy *(Exhibit 42)*.

- **Beyond its core grid infrastructure business, Hitachi also has exposure to nuclear power, providing additional long-term optionality within Energy segment.** Hitachi has a credible legacy position in BWR in Japan, supported by decades of experience in reactor design, construction, and maintenance. These capabilities position Hitachi to capture additional opportunities from Japan's nuclear restart. Hitachi also has exposure to the emerging SMR market with BWRX-300 SMR through Nuclear JV with GE Vernova (Covered by Sunaina Ocalan). The first project, currently under construction in Canada targeting commercial operation in 2030, could serve as an important reference for further global deployment.

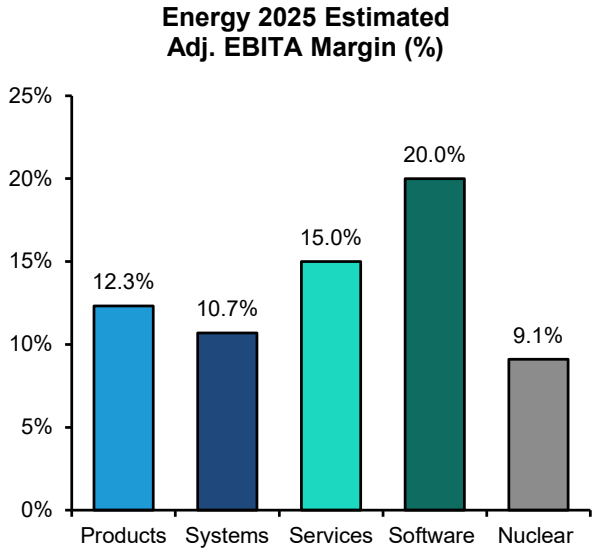
- **Software and Services to be additional low hanging fruit for revenue uplift and margin expansion from 13% in 2025 to 18% in 2030E.** Energy has the lowest Lumada penetration at ~25% in 2025. We believe HMAX penetration for software is even lower at ~low single digit of penetration. However, Energy will be the segment requiring the most services and largely benefitting from maintenance monitoring. We project Energy's Lumada ratio is likely to increase from 25% in 2025 to 70% in 2030E as more transformers and grid systems will be upsold with software monitoring systems as a package *(Exhibit 43,Exhibit 45)*.

EXHIBIT 42: **Products such as transformers and switchgears make up a large proportion of Hitachi Energy's revenue mix**



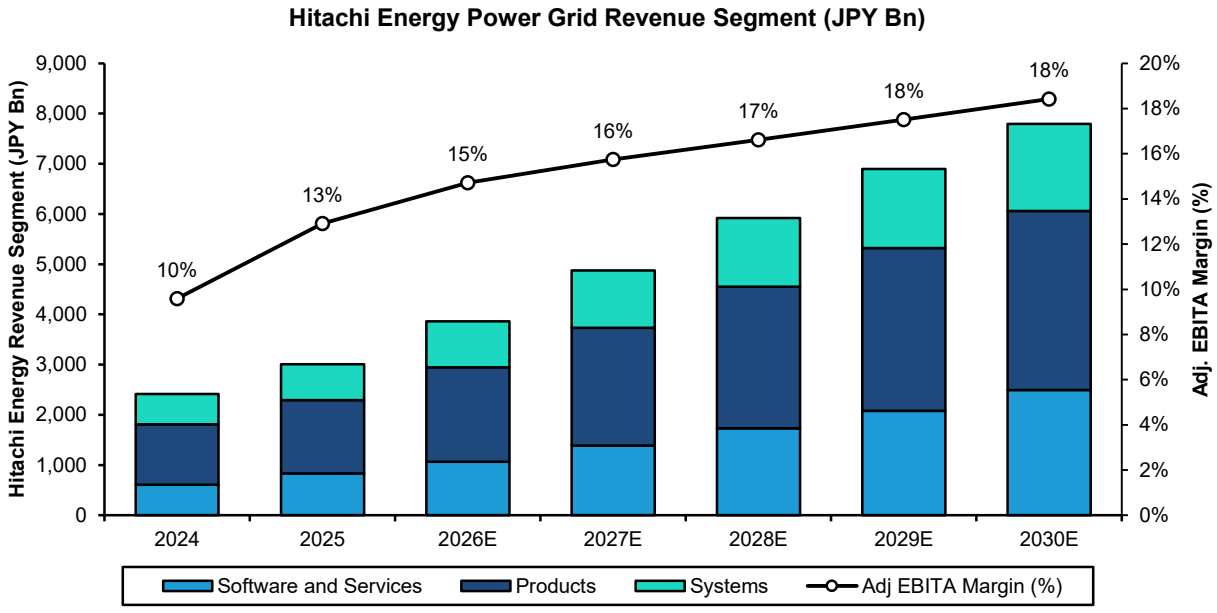
Source: Company reports, Bernstein analysis

EXHIBIT 43: **Service and software segment should lead margin expansion in Energy segment through Lumada**



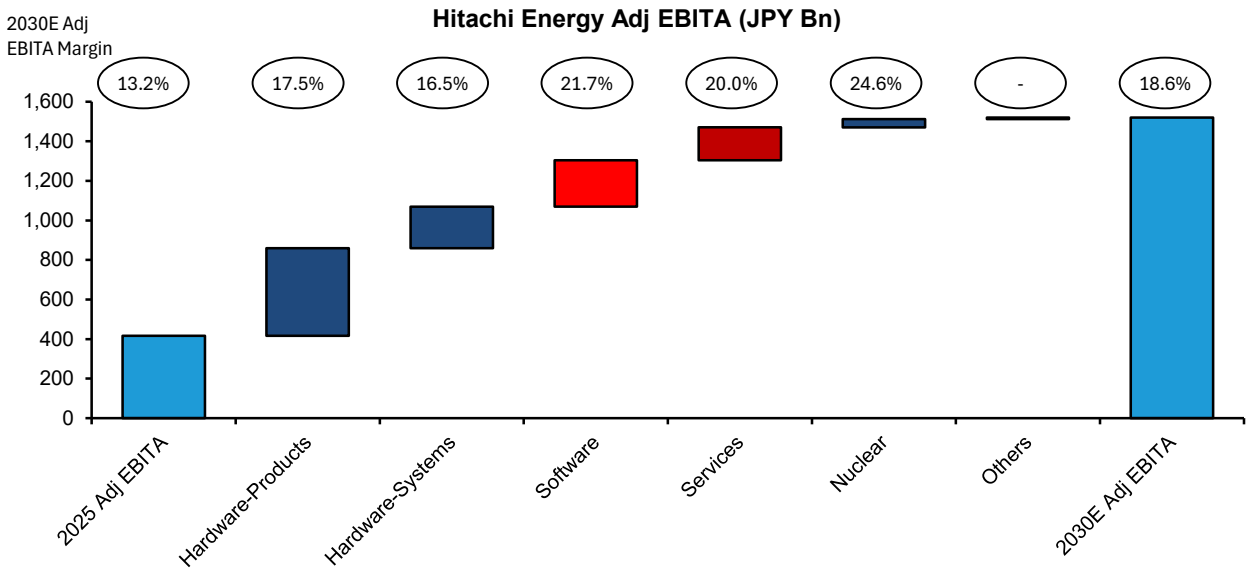
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 44: **Both hardware pricing increase and software/services mix shift will likely raise margins from 13% in 2025 to 18% in 2030E**



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 45: **Software and Services is expected to add 35% incremental earnings to Hitachi Energy Segment**



Adjusted Margins are in 2030E
Source: Company report, Bernstein estimates and analysis

MOBILITY: PORTFOLIO MIX AND DIGITAL SERVICES SUPPORT MARGIN EXPANSION

Hitachi's Mobility business combines end-to-end rail capabilities with a large global installed base, providing a strong platform for recurring revenue and Physical AI deployment. Hitachi's rail business dates back more than a century, with capabilities spanning rolling stock, signaling, control systems, operations, and maintenance. Hitachi began expanding internationally through the UK in the early 2000s and broadened its global presence through M&A, including rolling-stock manufacturer AnsaldoBreda and signaling providers Ansaldo STS and Thales GTS, while the Zefiro 300 added a high-speed train platform. Its JPY7.4tn order backlog as of 1QFY26 provides stable, multi-year revenue visibility while creating a large installed-asset base on which Hitachi can deploy Physical AI solutions *(Exhibit 46, Exhibit 47).*

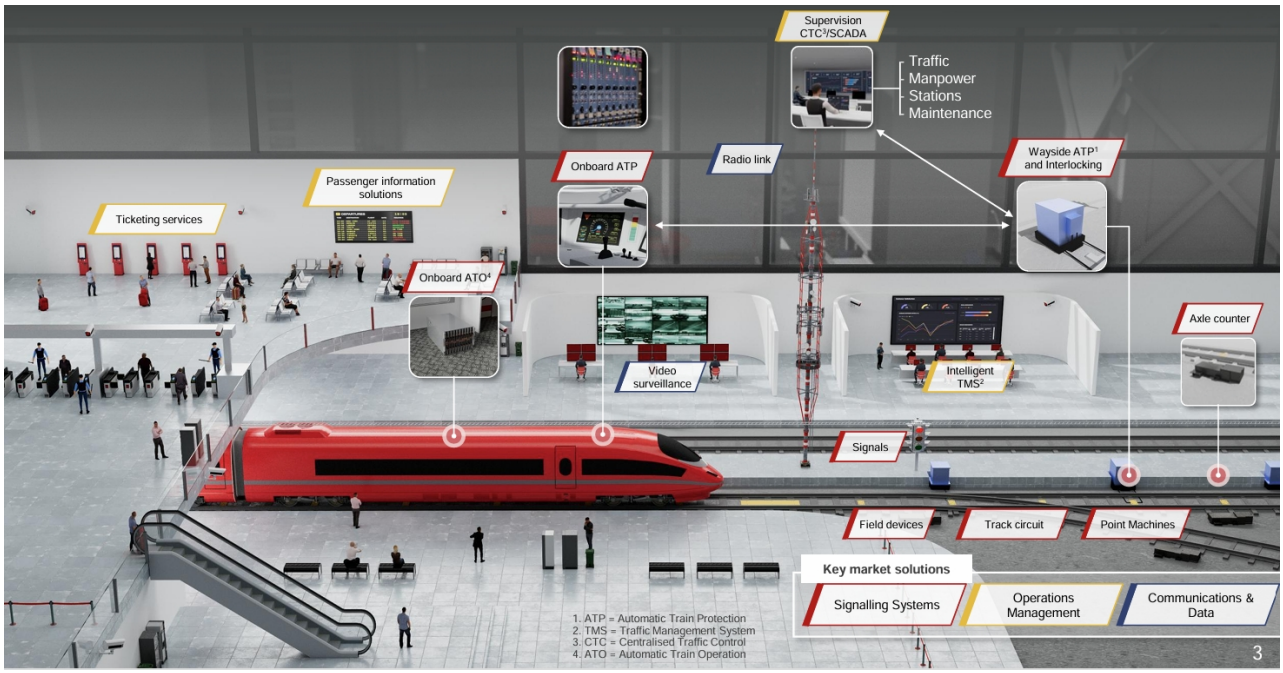
- **Hitachi is shifting its Mobility portfolio from rolling-stock manufacturing toward higher-margin signaling, digital and lifecycle solutions that combine IT, OT, and Products.** The acquisition of Thales' Ground Transportation Systems significantly expanded Hitachi's signaling and rail-control capabilities, making signaling a more central part of Hitachi's Mobility portfolio. Signaling systems are mission-critical because they directly govern train movements, network capacity, and operational safety. The market therefore has high barriers to entry, as railway operators require a proven safety record, regulatory certification, system-level engineering capabilities, and the ability to maintain equipment over multi-decade asset lives. **More importantly, digital signaling coordinates physical assets across rolling stock and rail infrastructure, enabling network-level optimization and supporting additional digital and lifecycle services.**

- **Hitachi's Mobility business is one of the most tangible applications of Hitachi's Physical AI strategy.** Railways consist of physical assets, including trains, signaling equipment, and track infrastructure, that continuously generate operational data through sensors and control systems. HMAX combines this operational technology with Hitachi's IT and AI capabilities to identify component degradation, predict maintenance requirements, and optimize train availability and network performance *(Exhibit 48)*. Hitachi strengthened these capabilities through the acquisition of Omnicom, which added rail-infrastructure monitoring, proprietary sensors, and operational software, while its collaboration with NVIDIA (Covered by Stacy Rasgon) supports the deployment of edge AI across trains and railway infrastructure. **This architecture allows Hitachi to optimize the railway as a connected system rather than managing rolling stock, signaling, and infrastructure as separate assets.**

- **The earnings opportunity lies in converting Hitachi Rail's large installed base into higher-margin and recurring digital revenue.** Hitachi targets recurring and software revenue to account for 76% of Mobility revenue by 2027, supported by the portfolio shift toward signaling, digital, and lifecycle solutions. HMAX is central to this transition, applying AI across the entire railway system to support maintenance optimization, energy efficiency, and advanced mobility services. Hitachi

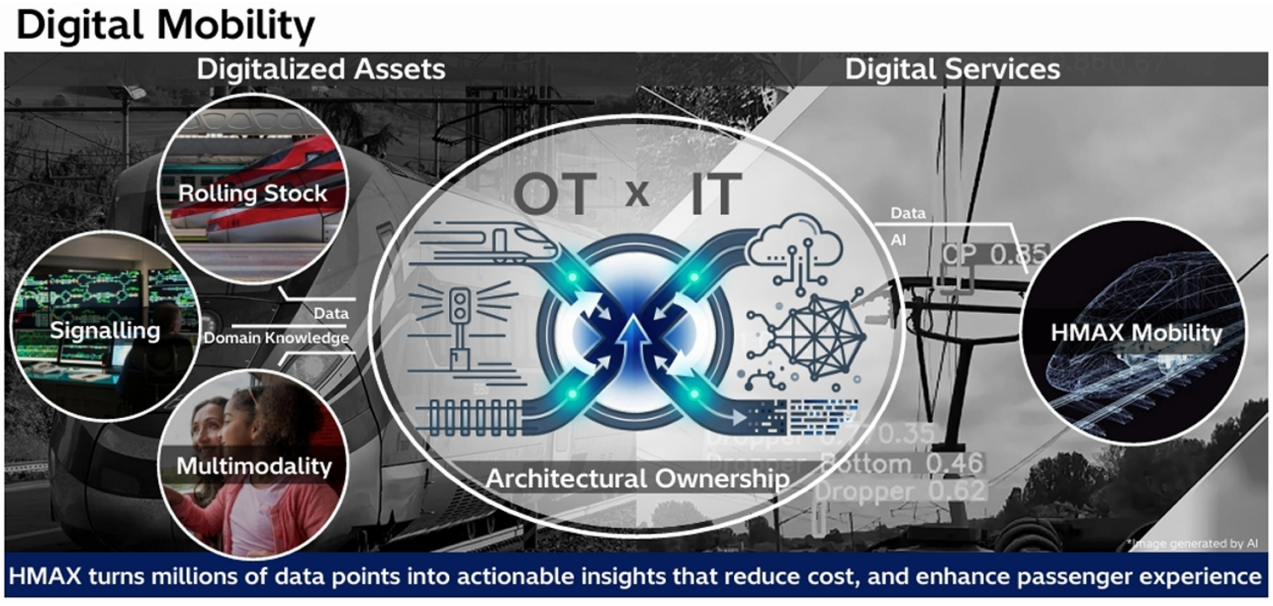
estimates an addressable HMAX for Rail opportunity of approximately JPY3.0Tn and secured global HMAX pipeline of JPY600bn, three times the pipeline in 2025. Hitachi is also expanding beyond rail into multimodal public transportation through the acquisition of Clever Devices, which adds fleet-management and operational capabilities for bus networks. **Together, these initiatives could allow Hitachi to convert its global installed base into higher-margin recurring revenue while expanding Physical AI from individual rail assets to broader transportation networks.**

EXHIBIT 46: **Hitachi covers entire value chain of Rail from rolling stocks, controls, and signals**



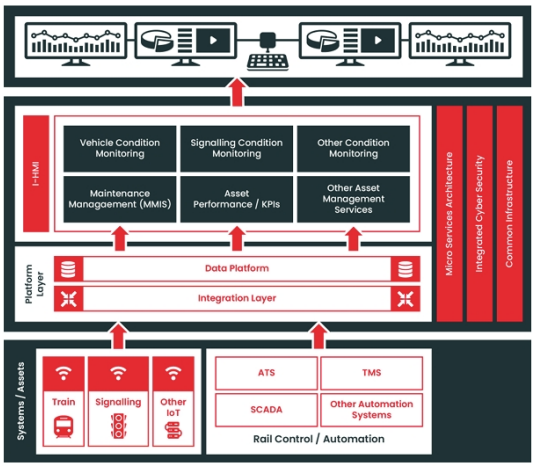
Source: Hitachi

EXHIBIT 47: **Hitachi enhances its end-to-end railway portfolio with digital services**



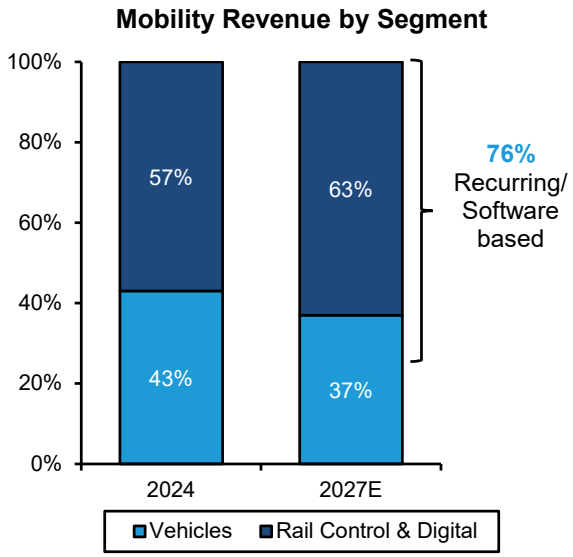
Source: Hitachi

EXHIBIT 48: **HMAX rail architecture covers the entire rail system**



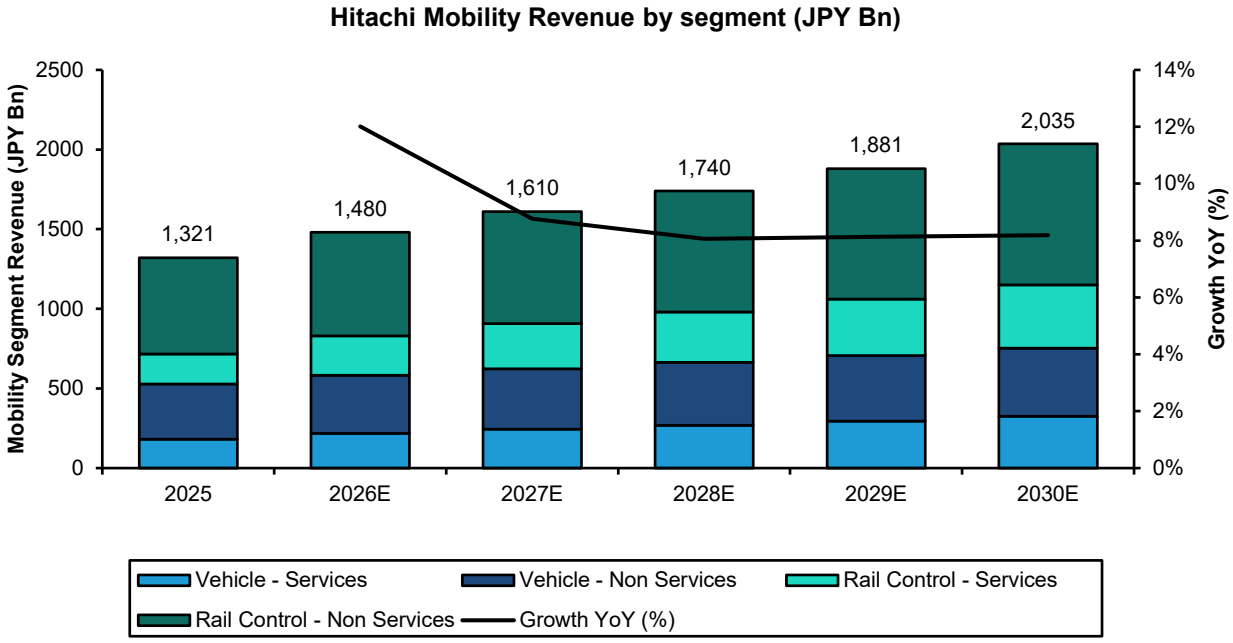
Source: Company disclosures, Bernstein analysis

EXHIBIT 49: **Hitachi Mobility is shifting to higher-margin Recurring & Software based business**



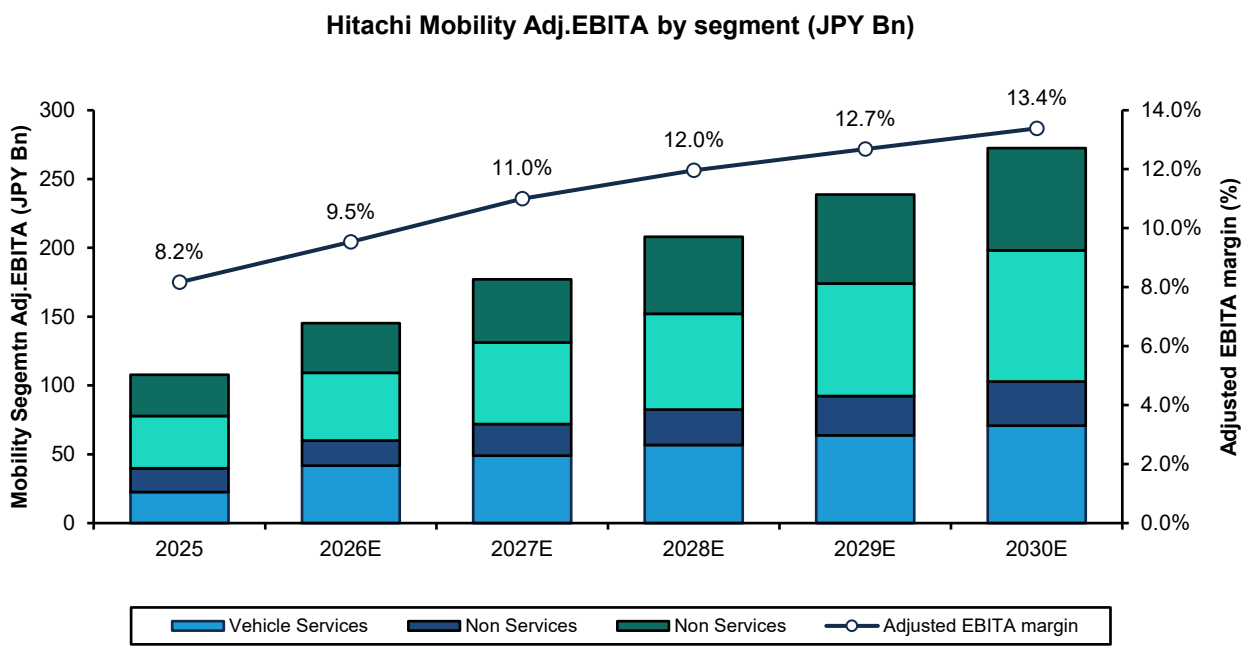
Source: Company disclosures and estimates, Bernstein analysis

EXHIBIT 50: **Services segment should drive Mobility's growth through Lumada expansion**



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 51: **Services growth should also drive margin expansion in Mobility segment**



Source: Company reports, Bernstein estimates and analysis

CONNECTIVE INDUSTRIES: APPLICATION-SPECIFIC OPPORTUNITIES ACROSS BUILDINGS AND EQUIPMENT

Connective Industries is Hitachi's most diversified segment, spanning semiconductor measurement equipment, healthcare diagnostics, building systems, HVAC (air conditioning), and industrial products such as compressors, pumps, motors, and UPS systems. The segment is organized around Industrial Solutions, Urban Solutions & Services, and Industrial Products, covering products and systems across diverse industries. Hitachi has continuously streamlined the portfolio by restructuring non-core and lower-synergy businesses, including the transfer of the home appliance business to Nojima (Not covered). **Hitachi is now concentrating resources on businesses with stronger competitive positions, large installed bases, and greater opportunities for Physical AI and digital-service expansion.**

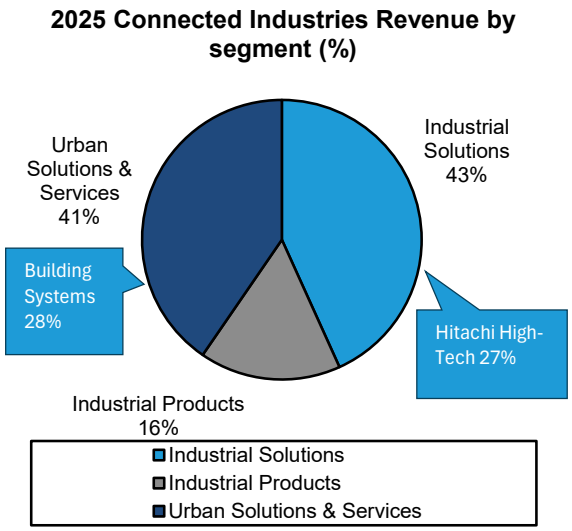
- **Measurement & Analysis business and Building systems business are the core areas where Connective Industries can deploy Physical AI by applying Lumada to its installed-base assets.** Hitachi holds globally leading positions in several product categories, including semiconductor inspection equipment, clinical chemistry analyzers, genetic testing instruments, and elevators. These products generate operational data throughout their useful lives. By applying Lumada and HMAX to these assets, Hitachi can improve equipment uptime, productivity, energy efficiency, and operating quality while expanding from standalone product sales into lifecycle and recurring digital services *(Exhibit 52)*.

- **Building Systems offers one of the clearest examples of how Hitachi can deploy Physical AI across an integrated physical environment.** Hitachi holds a top-tier global position in elevators and escalators, supported by approximately 650,000 connected units that generate extensive operational and maintenance data. By connecting elevators with energy and HVAC systems through a common control platform, Hitachi can apply AI to predictive maintenance, fault diagnosis, operational optimization, and energy efficiency across the entire building *(Exhibit 53)*.

- **Semiconductors and healthcare provide the clearest examples of this strategy.** Hitachi holds a 76% share of the CD-SEM market, providing strong customer access and domain expertise in semiconductor process control. CD-SEMs are critical high-precision measurement that measure and inspect increasingly fine semiconductor patterns, particularly as EUV adoption drives further process miniaturization. Hitachi aims to combine its equipment position and domain expertise with AI to improve inspection accuracy, productivity, and manufacturing yield, before expanding into broader process optimization and recurring digital services. Hitachi is also pursuing a similar strategy in Healthcare and biopharmaceutical by applying AI to diagnostic and analytical equipment and gradually extending its coverage into adjacent workflows. **This provides a**

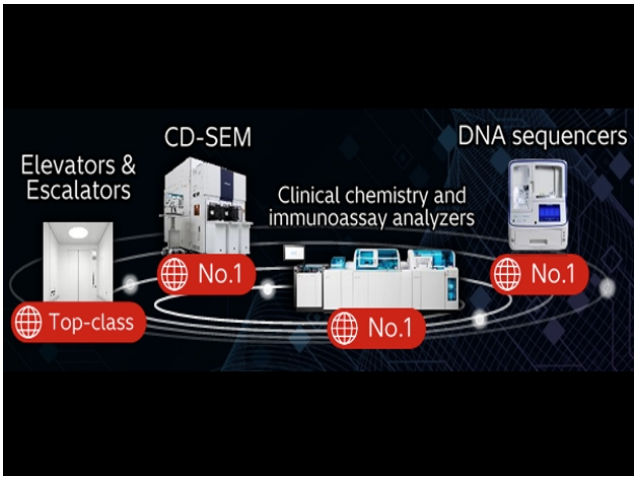
pathway for Hitachi to expand from standalone equipment into broader AI-enabled workflow optimization and recurring digital services.

EXHIBIT 52: **Hitachi seeks Lumada opportunities across its core installed-base businesses**



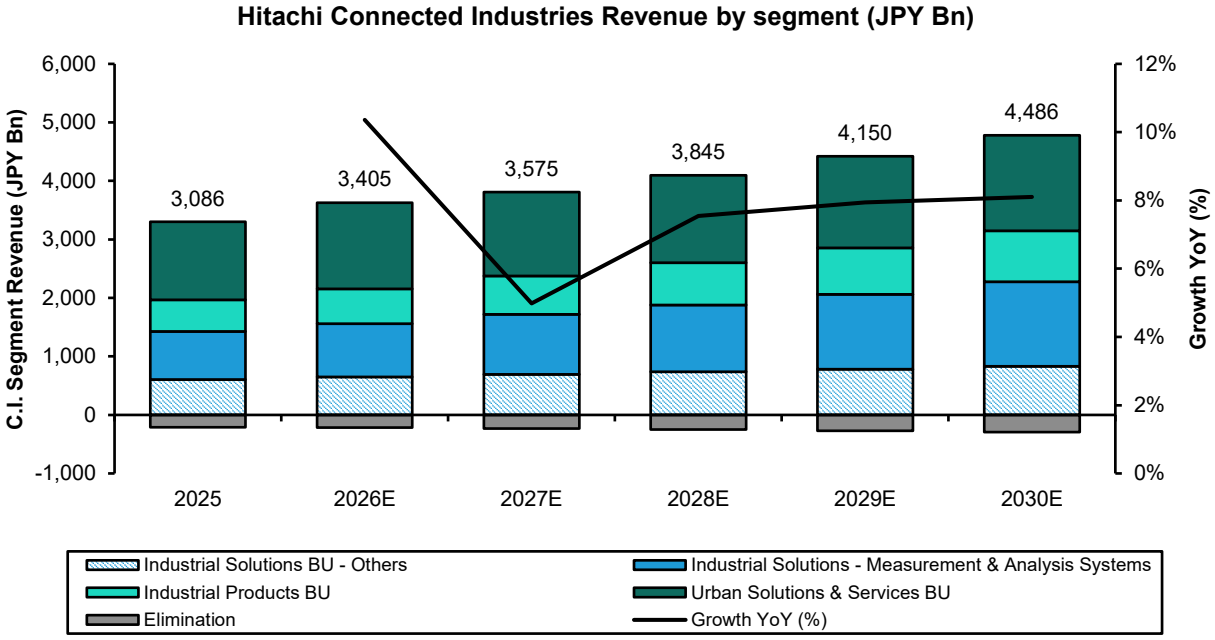
Source: Company disclosures, Bernstein analysis

EXHIBIT 53: **Hitachi's global leading equipment portfolio provides that edge to incorporate Lumada effectively**



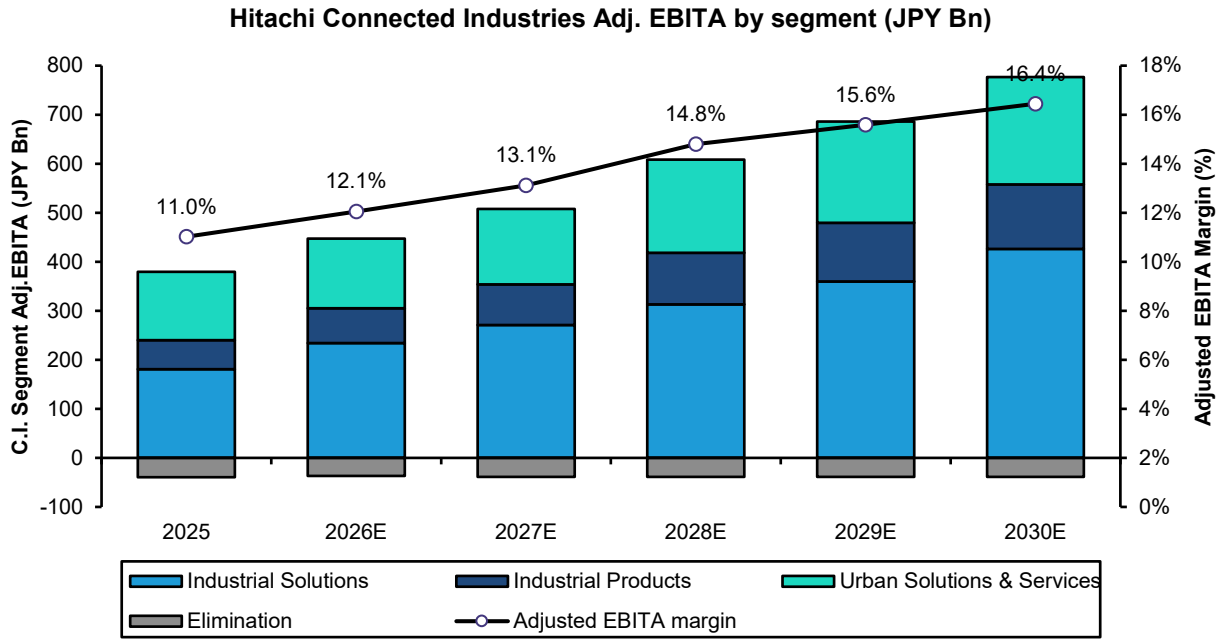
Source: Hitachi

EXHIBIT 54: **Installed-Base edge equipment should drive Connective Industries growth through Physical AI deployment**



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 55: **Physical AI-enabled core assets should drive margin expansion**



Source: Company reports, Bernstein estimates and analysis

VALUATION: EARNINGS DELIVERY UNDERPINS THE INVESTMENT CASE

We believe Lumada 3.0 is the next earnings growth driver for Hitachi. Lumada will not only add software and services growth to various business segments, but also create a higher margin mix shift for the overall company. On earnings, our estimated adjusted operating profit is 15% above consensus in 2026E, 23% above in 2027E, and 27% above in 2028E reflecting our differentiated view in Lumada uplift in earnings *(Exhibit 56, Exhibit 58)*.

DSS and Lumada as upside for the stock. Speaking to buyside investors, most believe in Hitachi's Energy story. The debate of the stock and hence the upside potential relies on DSS and Lumada. On DSS, some investors worry of AI disrupting IT Services margins- but in Japan, high IT customization requirements and push for AX alleviates our concerns. On Lumada, the market is perplex on this term and is unsure on how different is Lumada now. We see Lumada as a business model transformation opportunity to uplift earnings further through its current installed base amidst the AI evolution. This reinforces a 13x EV/EBITDA for DSS on par with Japanese System Integrators and SaaS companies *(Exhibit 59)*.

EXHIBIT 56: **Summary of Hitachi's earnings**

Key Revenue Drivers (JPY Bn)	2025	2025 Growth YoY (%)	2026E	2026E Growth (%)	2025-2030E CAGR (%)	Details
DSS	**3,068**	**4%**	**3,340**	**9%**	**7%**	**Digital Services to grow from DX AX upgrades by financial corporations**
Energy	**3,220**	**23%**	**4,124**	**28%**	**21%**	**Energy to experience multi-year secular growth from Data center growth, renewables development and grid investments**
Power Grids BU	3,006	24%	3,859	28%	21%	Power Grid BU driven by expansion in grid connections and electricity demand growth
Products	1,463	21%	1,879	28%	20%	Transformers, switchgears and other grid products will grow from high order demand delivered over a few years
Systems	711	18%	914	29%	20%	HVDC and FAST system connections are vital to connect new renewable plants and DC to the grid
Software and Services	832	38%	1,066	28%	25%	Maintenance and software businesses to grow from larger installed base with future recurring nature
Services	521	44%	668	28%	25%	Grid maintenance services to expand from growing installed base of Hitachi's products acting as recurring future revenue
Software	311	29%	398	28%	25%	HMAX and grid automation software enables predictive capabilities on peak loads and optimal electricity distribution
Nuclear Energy BU	211	3%	263	25%	17%	Nuclear energy to grow from local and US based renaissance
Mobility	**1,321**	**13%**	**1,480**	**12%**	**9%**	
Vehicle	529	5%	583	10%	7%	Vehicle to remain resilient from project delivery and rail expansion
Rail Control	793	19%	897	13%	10%	Rail control as key focus targeting system and software related specialty on power control and power optimization
Connective Industries	**3,086**	**-1%**	**3,405**	**10%**	**8%**	**CI remains muted on weaker urban systems growth offset by steady advanced technology businesses**
Others	531	7%	554	4%	5%	
Eliminations	(640)	-6%	(713)	11%	11%	
Total Revenue	**10,587**	**8%**	**12,190**	**15%**	**12%**	

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 57: **Our estimates are above consensus on revenue and EPS, driven by Energy demand and Lumada margin expansion**

Hitachi: Bernstein vs Consensus	2026E	2027E	2028E
JPY Million			
Revenue			
Bernstein	12,190	13,723	15,394
Growth YoY	15.1%	12.6%	12.2%
Consensus	11,763	12,716	13,667
Growth YoY	11.1%	8.1%	7.5%
Bernstein vs. consensus	3.5%	7.3%	11.2%
Gross Profit			
Bernstein	3,830	4,482	5,150
Growth YoY	20.5%	17.0%	14.9%
Consensus	3,555	3,852	4,139
Growth YoY	11.8%	8.4%	7.4%
Bernstein vs. consensus	7.2%	14.1%	19.6%
Adjusted Operating Profit			
Bernstein	1,640	2,070	2,508
Growth YoY	36.8%	26.2%	21.1%
Consensus	1,455	1,676	1,910
Growth YoY	21.3%	15.2%	14.0%
Bernstein vs. consensus	11.3%	19.0%	23.8%
EPS (JPY)			
Bernstein	231.31	295.52	363.12
Growth YoY	31.0%	27.8%	22.9%
Consensus	212.83	252.86	291.66
Growth YoY	20.5%	18.8%	15.3%
Bernstein vs. consensus	8.0%	14.4%	19.7%

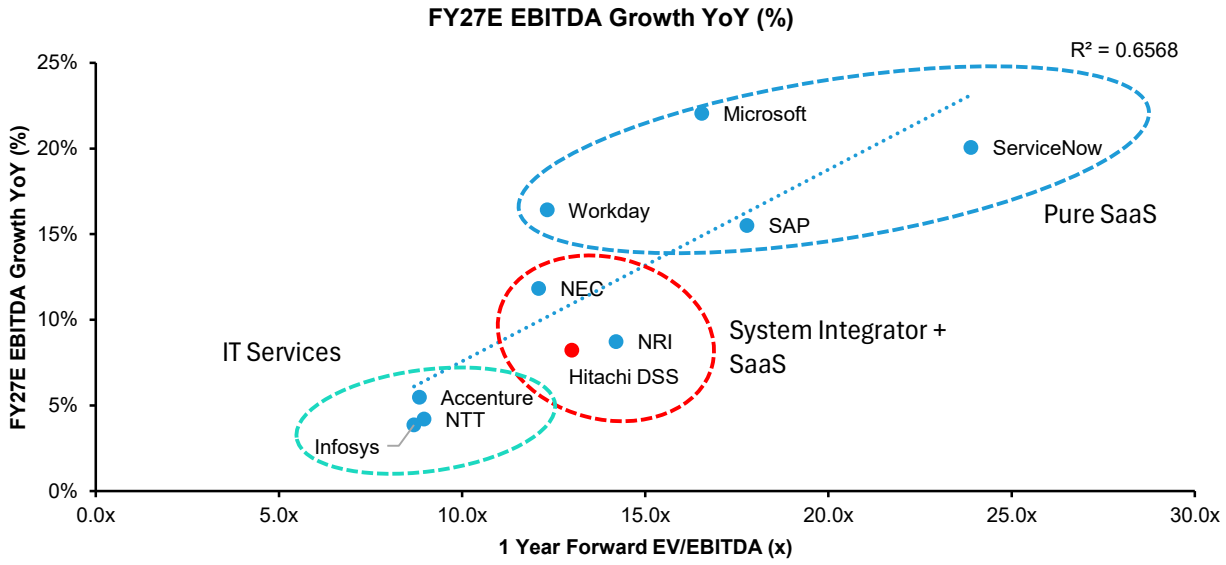
Adjusted operating profit refers to Gross profit minus SG&A expenses
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 58: **We are slightly above consensus on DSS growth**

Hitachi DSS: Bernstein vs Consensus	2026E	2027E	2028E
JPY Million			
Revenue			
Bernstein	3,340	3,572	3,822
Growth YoY	8.8%	7.0%	7.0%
Consensus	3,268	3,525	3,738
Growth YoY	6.5%	7.9%	6.0%
Bernstein vs. consensus	2.1%	1.3%	2.2%

Source: Bloomberg, Bernstein estimates and analysis

EXHIBIT 59: **We believe Hitachi's DSS should warrant a 13x EV/EBITDA as it strengthens its systems integrator role and develop more SaaS software products**



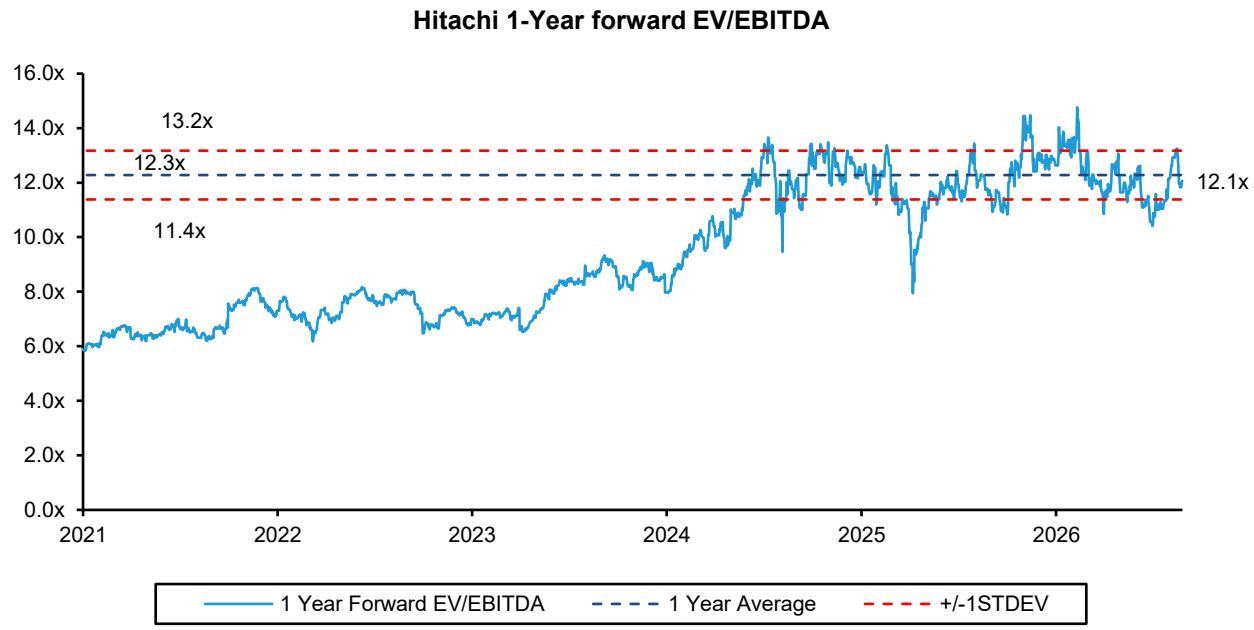
Microsoft and Workday are covered by Mark Moerdler; SAP is covered by Mark Moerdler and Richard Nguyen; Servicenow is covered by Peter Weed; NRI, Accenture, NTT, and Infosys are not covered by Bernstein
Source: Bloomberg, Bernstein estimates and analysis

EXHIBIT 60: **Hitachi SOTP valuation supports a target price of approximately ¥7,300**

Hitachi SOTP (JPY Bn)	Bear	Base	Bull
DSS			
2027E Revenue	2,646	2,940	3,234
EBITA Margin (%)		15%	
EBITDA Margin (%)	15%	18%	20%
EBITDA	397	529	647
EV/EBITDA Multiple (x)	11.0x	13.0x	15.0x
Enterprise Value	4,366	6,879	9,701
2027E Enterprise Value per Share (JPY)	**956.00**	**1,506.43**	**2,124.45**
Energy			
2030E Revenue	7,425	8,249	9,074
EBITA Margin (%)		19%	
EBITDA Margin (%)	18%	21%	23%
EBITDA	1,336	1,732	2,087
EV/EBITDA Multiple (x)	14.0x	16.0x	18.0x
Enterprise Value	18,710	27,718	37,568
2027E Enterprise Value per Share (JPY)	**2,724.80**	**4,036.74**	**5,471.23**
Mobility			
2027E Revenue	1,189	1,321	1,453
EBITA Margin (%)		10%	
EBITDA Margin (%)	10%	13%	15%
EBITDA	119	172	218
EV/EBITDA Multiple (x)	8.0x	10.0x	12.0x
Enterprise Value	951	1,718	2,616
2027E Enterprise Value per Share (JPY)	**208.33**	**376.15**	**572.90**
Connective Industries			
2027E Revenue	2,936	3,263	3,589
EBITA Margin (%)		13%	
EBITDA Margin (%)	13%	16%	17%
EBITDA	382	522	610
EV/EBITDA Multiple (x)	11.0x	13.0x	15.0x
Enterprise Value	4,199	6,786	9,151
2027E Enterprise Value per Share (JPY)	**919.48**	**1,486.04**	**2,004.00**
Net Cash (JPY Bn)			
Cash and Cash Equivalents	1,928	1,928	1,928
S-T Debt + L-T Debt	624	624	624
Net Cash (JPY Bn)	**1,304**	**1,304**	**1,304**
Discount (%)	100%	50%	30%
Equity Value per Share (JPY)	**-**	**142.81**	**199.93**
NTM Target Price (JPY)	**4,616.4**	**7,252.2**	**9,965.9**

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 61: **2021-2026: Hitachi 1-Year forward EV/EBITDA**



Source: Bloomberg, Bernstein analysis

EXHIBIT 62: **The average of our DCF and 12.0x EV/EBITDA valuation suggests a TP of JPY7,300**

Key Assumptions	
WACC	8.5%
Perpetuity Growth Rate	3.0%

DCF - Hitachi

(JPY in Billions, Unless Otherwise Indicated)		2017 Act.	2018 Act.	2019 Act.	2020 Act.	2021 Act.	2022 Act.	2023 Act.	2024 Act.	2025 Act.	2026 Est.	2027 Est.	2028 Est.	2029 Est.	2030 Est.	2031 Est.
Revenue		**9,369**	**9,481**	**8,767**	**8,729**	**10,265**	**10,881**	**9,729**	**9,783**	**10,587**	**12,190**	**13,723**	**15,394**	**17,037**	**18,661**	**20,341**
Annual Growth			*1.2%*	*-7.5%*	*-0.4%*	*17.6%*	*6.0%*	*-10.6%*	*0.6%*	*8.2%*	*15.1%*	*12.6%*	*12.2%*	*10.7%*	*9.5%*	9.0%
Cost of sales		(6,867)	(6,965)	(6,397)	(6,534)	(7,706)	(8,192)	(7,147)	(6,963)	(7,407)	(8,360)	(9,241)	(10,244)	(11,254)	(12,233)	
Gross profit		**2,502**	**2,516**	**2,370**	**2,195**	**2,559**	**2,689**	**2,582**	**2,821**	**3,180**	**3,830**	**4,482**	**5,150**	**5,783**	**6,428**	
Operating expenses		1,787	1,761	1,708	1,700	1,820	1,941	1,826	1,849	1,980	2,190	2,412	2,642	2,837	3,014	
EBIT		**644**	**514**	**184**	**850**	**851**	**846**	**858**	**978**	**1,274**	**1,582**	**1,991**	**2,423**	**2,861**	**3,328**	**3,763**
Annual Growth			*-20.2%*	*-64.3%*	*363.1%*	*0.1%*	*-0.6%*	*1.5%*	*13.9%*	*30.3%*	*24.2%*	*25.8%*	*21.7%*	*18.1%*	*16.3%*	
Margin		*6.9%*	*5.4%*	*2.1%*	*9.7%*	*8.3%*	*7.8%*	*8.8%*	*10.0%*	*12.0%*	*13.0%*	*14.5%*	*15.7%*	*16.8%*	*17.8%*	18.5%
EBITDA		**1,009**	**882**	**617**	**1,342**	**1,391**	**1,372**	**1,309**	**1,409**	**1,732**	**2,068**	**2,498**	**2,961**	**3,421**	**3,899**	**4,334**
Less: Income Taxes	30.0%	(193)	(154)	(55)	(255)	(255)	(254)	(257)	(293)	(382)	(475)	(597)	(727)	(858)	(999)	
Unlevered Net Income		**451**	**360**	**129**	**595**	**596**	**592**	**601**	**684**	**892**	**1,107**	**1,393**	**1,696**	**2,003**	**2,330**	
Plus: Depreciation and Amortization		364	368	433	492	540	526	452	432	458	486	507	538	560	571	571
Less: Capital Expenditure		(440)	(472)	(421)	(373)	(440)	(411)	(385)	(392)	(498)	(590)	(733)	(746)	(740)	(717)	
Less: Increase in Working Capital		(76)	(202)	(142)	13	(226)	(174)	8	110	242	(365)	(520)	(551)	(475)	(456)	
Unlevered Free Cash Flow		**299**	**53**	**(2)**	**727**	**470**	**533**	**675**	**835**	**1,094**	**638**	**647**	**938**	**1,348**	**1,728**	**2,037**
FCF Margin		**30%**	**6%**	**0%**	**54%**	**34%**	**39%**	**52%**	**59%**	**63%**	**31%**	**26%**	**32%**	**39%**	**44%**	47%
Annual Growth			*-82%*	*N.M.*	*N.M.*	*-35%*	*14%*	*27%*	*24%*	*31%*	*-42%*	*2%*	*45%*	*44%*	*28%*	*18%*

WACC	8.5%
Perpetuity Growth Rate	3.0%

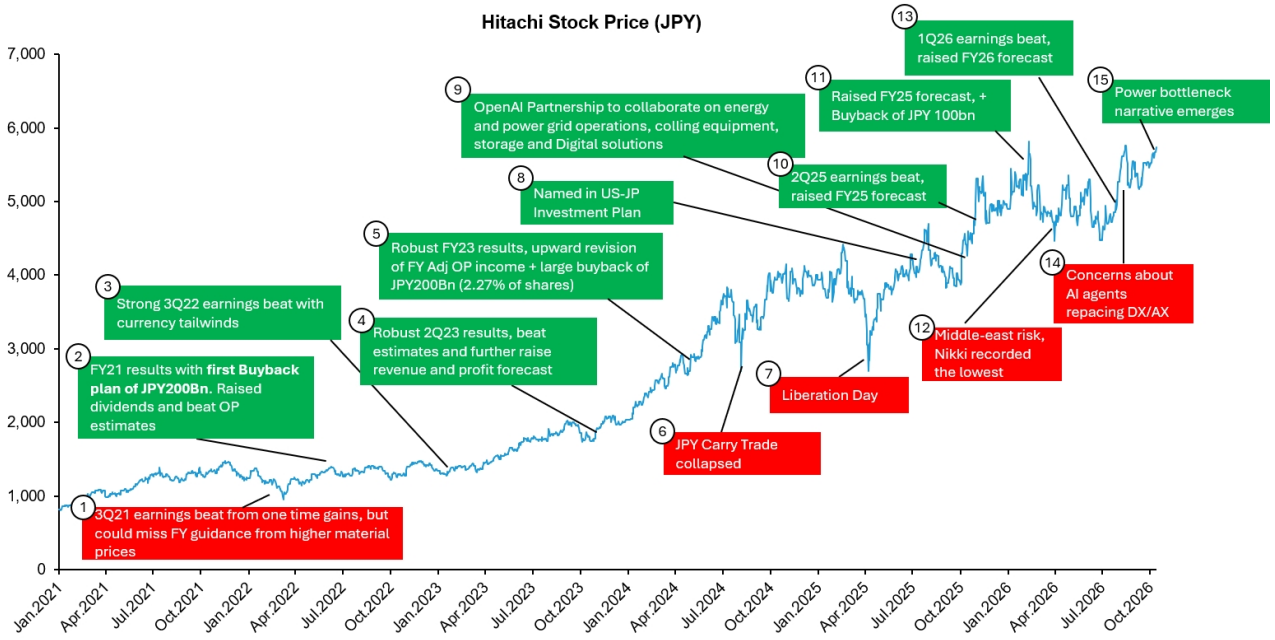
Discount Factor - End-of-Period Convention	(7.7)	(6.7)	(5.7)	(4.6)	(3.6)	(2.6)	(1.6)	(0.6)	0.4	1.4	2.4	3.4	4.4	5.4
Present value of FCF						0	0	0	219	580	774	1,025	1,211	1,316
Cummulative PV of FCF						0	0	0	219	799	1,573	2,598	3,809	5,125
Terminal Value														38,145
PV of Terminal Value														24,647

Sum of discounted cash flows	5,125
NPV of terminal value	24,647
Total corporate value	**29,772**
Less: Debt	910
Add: Cash, ST Investments	1,607
Shareholder Value	**30,469**
Value per share as of today (JPY)	6,672
Implied next 12 month value per share (JPY)	**7,253**

Multiple method using EV/EBITDA ratio	
2BF EBITDA	2,729
Target EV/EBITDA Multiple	12.0x
Implied next 12 months stock price (JPY)	**7,323**

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 63: **Hitachi stock price history**



Source: Bloomberg, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 64: **Hitachi Income Statement**

Income Statement

JPY billion	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue	9,162	9,369	9,481	8,767	8,729	10,265	10,881	9,729	9,783	10,587	12,190	13,723	15,394	17,037	18,661
Gross profit	**2,380**	**2,502**	**2,516**	**2,370**	**2,195**	**2,559**	**2,689**	**2,582**	**2,821**	**3,180**	**3,830**	**4,482**	**5,150**	**5,783**	**6,428**
Selling, general and administrative expenses	1,792	1,787	1,761	1,708	1,700	1,820	1,941	1,826	1,849	1,980	2,190	2,412	2,642	2,837	3,014
Adjusted Operating Income	**587**	**715**	**755**	**662**	**495**	**738**	**748**	**756**	**972**	**1,199**	**1,640**	**2,070**	**2,508**	**2,947**	**3,414**
Net other income (expense)	(46)	(129)	(236)	(519)	304	44	57	19	(93)	(67)	(121)	(144)	(150)	(151)	(151)
Net other financial income (expense)	(19)	(4)	10	(3)	13	28	(13)	7	41	98	26	23	22	22	22
Share of profits (losses) of investments accounted	(47)	62	(15)	44	39	40	53	75	58	44	37	42	43	43	43
EBITDA	**890**	**1,009**	**882**	**617**	**1,342**	**1,391**	**1,372**	**1,309**	**1,409**	**1,732**	**2,068**	**2,498**	**2,961**	**3,421**	**3,899**
EBIT	**475**	**644**	**514**	**184**	**850**	**851**	**846**	**858**	**978**	**1,274**	**1,582**	**1,991**	**2,423**	**2,861**	**3,328**
Interest Income	(6)	(6)	3	(3)	(6)	(12)	(26)	(32)	(15)	(1)	27	63	100	148	209
Profit before tax	**469**	**639**	**517**	**180**	**844**	**839**	**820**	**826**	**963**	**1,273**	**1,609**	**2,053**	**2,523**	**3,009**	**3,538**
Income tax expense	(125)	(132)	(186)	(51)	(325)	(168)	(116)	(199)	(306)	(422)	(486)	(616)	(757)	(903)	(1,061)
Losses from discontinued operations	(6)	(16)	(9)	(2)	(1)	0	0	0	0	0	0	0	0	0	0
Net income	**338**	**491**	**321**	**127**	**519**	**671**	**704**	**627**	**657**	**851**	**1,123**	**1,437**	**1,766**	**2,107**	**2,476**
Basic EPS (JPY)	**47.9**	**75.2**	**46.1**	**18.1**	**103.9**	**120.8**	**136.9**	**126.9**	**133.9**	**176.8**	**233.5**	**298.9**	**367.2**	**438.1**	**515.0**
Diluted EPS (JPY)	**47.9**	**75.1**	**46.1**	**18.1**	**103.7**	**120.6**	**136.8**	**126.8**	**133.7**	**176.6**	**231.3**	**295.5**	**363.1**	**433.2**	**509.2**
Margins															
Gross profit	26.0%	26.7%	26.5%	27.0%	25.1%	24.9%	24.7%	26.5%	28.8%	30.0%	31.4%	32.7%	33.5%	33.9%	34.4%
Adjusted operating profit	6.4%	7.6%	8.0%	7.5%	5.7%	7.2%	6.9%	7.8%	9.9%	11.3%	13.5%	15.1%	16.3%	17.3%	18.3%
EBIT	5.2%	6.9%	5.4%	2.1%	9.7%	8.3%	7.8%	8.8%	10.0%	12.0%	13.0%	14.5%	15.7%	16.8%	17.8%
EBITDA	9.7%	10.8%	9.3%	7.0%	15.4%	13.6%	12.6%	13.5%	14.4%	16.4%	17.0%	18.2%	19.2%	20.1%	20.9%
Profit before tax	5.1%	6.8%	5.4%	2.1%	9.7%	8.2%	7.5%	8.5%	9.8%	12.0%	13.2%	15.0%	16.4%	17.7%	19.0%
Net income	3.7%	5.2%	3.4%	1.5%	5.9%	6.5%	6.5%	6.4%	6.7%	8.0%	9.2%	10.5%	11.5%	12.4%	13.3%
Growth YoY															
Revenue		2.3%	1.2%	-7.5%	-0.4%	17.6%	6.0%	-10.6%	0.6%	8.2%	15.1%	12.6%	12.2%	10.7%	9.5%
Gross profit		5.1%	0.6%	-5.8%	-7.4%	16.5%	5.1%	-4.0%	9.2%	12.7%	20.5%	17.0%	14.9%	12.3%	11.1%
Adjusted operating profit		21.7%	5.6%	-12.3%	-25.2%	49.1%	1.3%	1.0%	28.6%	23.4%	36.8%	26.2%	21.1%	17.5%	15.9%
EBIT		35.6%	-20.2%	-64.3%	363.1%	0.1%	-0.6%	1.5%	13.9%	30.3%	24.2%	25.8%	21.7%	18.1%	16.3%
EBITDA		13.3%	-12.6%	-30.1%	117.6%	3.7%	-1.4%	-4.6%	7.6%	22.9%	19.4%	20.8%	18.5%	15.5%	14.0%
Profit before tax		36.1%	-19.1%	-65.1%	368.4%	-0.6%	-2.3%	0.7%	16.6%	32.2%	26.4%	27.6%	22.9%	19.3%	17.5%
Net income		45.2%	-34.6%	-60.4%	307.5%	29.4%	4.9%	-11.0%	4.8%	29.6%	31.9%	28.0%	22.9%	19.3%	17.5%
Diluted EPS		56.9%	-38.7%	-60.7%	472.3%	16.3%	13.4%	-7.3%	5.5%	32.1%	31.0%	27.8%	22.9%	19.3%	17.5%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 65: **Hitachi Balance Sheet**

Balance Sheet

JPY billion	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Cash and cash equivalents	765	698	808	812	1,016	969	833	705	866	1,323	1,928	2,719	3,729	5,086	6,761
Trade receivables and contract assets	2,433	2,501	2,400	2,260	2,734	2,978	2,875	2,991	3,496	4,005	4,676	5,231	5,736	6,162	6,555
Inventories	1,226	1,375	1,357	1,409	1,653	2,042	1,646	1,511	1,566	1,770	2,549	2,829	3,179	3,571	3,959
Investments in securities and other financial asset	0	373	284	280	328	376	347	331	318	355	408	450	492	535	578
Other current assets	536	204	187	456	211	234	227	316	351	413	485	485	485	485	485
Total current assets	**5,003**	**5,152**	**5,036**	**5,218**	**5,943**	**6,599**	**5,929**	**5,855**	**6,598**	**7,867**	**10,046**	**11,714**	**13,621**	**15,839**	**18,338**
Investments accounted for using the equity metho	691	743	724	480	472	411	479	816	836	612	616	616	616	616	616
Investments in securities and other financial asset	720	716	568	441	534	585	497	320	350	594	513	513	513	513	513
Property, plant and equipment	1,998	2,125	1,957	2,165	2,409	2,479	1,700	1,222	1,342	1,653	1,745	1,884	1,984	2,038	2,039
Goodwill	0	0	0	636	1,161	2,154	2,165	2,372	2,487	2,648	2,712	2,756	2,810	2,873	2,946
Other intangible assets	0	0	0	480	965	1,257	1,245	1,179	1,200	1,216	1,238	1,281	1,335	1,399	1,471
Other non-current assets	294	316	381	511	368	402	487	458	473	452	469	469	469	469	469
Total Non-current assets	**4,661**	**4,955**	**4,591**	**4,712**	**5,910**	**7,288**	**6,573**	**6,367**	**6,687**	**7,174**	**7,293**	**7,519**	**7,727**	**7,907**	**8,054**
Total Assets	**9,664**	**10,107**	**9,627**	**9,930**	**11,853**	**13,888**	**12,501**	**12,221**	**13,285**	**15,041**	**17,339**	**19,233**	**21,348**	**23,746**	**26,392**
Short-term debt	196	121	111	183	417	1,234	778	38	73	43	61	61	61	61	61
Current portion of long-term debt	190	117	185	231	274	336	142	187	369	426	433	433	433	433	433
Other financial liabilities	274	255	258	252	289	294	264	266	280	317	321	321	321	321	321
Trade payables	1,402	1,537	1,406	1,271	1,516	1,755	1,548	1,400	1,573	1,659	2,791	3,107	3,411	3,754	4,080
Accrued expenses	688	697	654	604	699	738	721	697	736	799	613	613	613	613	613
Contract liabilities	472	551	554	615	934	1,070	1,241	1,658	2,196	3,055	3,214	3,214	3,214	3,214	3,214
Other current liabilities	498	517	438	576	469	427	472	555	680	868	855	855	855	855	855
Total Current liabilities	**3,721**	**3,795**	**3,606**	**3,733**	**4,597**	**5,854**	**5,166**	**4,803**	**5,908**	**7,167**	**8,288**	**8,604**	**8,908**	**9,252**	**9,578**
Non-current liabilities															
Long-term debt	2,197	843	812	708	1,071	1,706	1,556	1,294	955	764	540	563	563	563	563
Retirement and severance benefits	784	636	575	527	514	434	415	323	246	247	236	233	233	233	233
Other non-current liabilities	451	367	413	371	345	657	707	383	358	334	326	316	316	316	316
Total Non-current liabilities	**3,431**	**1,846**	**1,800**	**1,607**	**1,930**	**2,798**	**2,678**	**2,000**	**1,559**	**1,346**	**1,102**	**1,112**	**1,112**	**1,112**	**1,112**
Total Liabilities	**8,425**	**5,567**	**5,595**	**5,212**	**5,663**	**7,395**	**8,532**	**7,166**	**6,362**	**7,253**	**8,269**	**9,401**	**9,716**	**10,021**	**10,364**
Total Hitachi, Ltd. stockholders' equity	2,967	3,278	3,263	3,160	3,526	4,342	4,943	5,704	5,847	6,568	7,687	9,169	10,861	12,773	14,926
Non-controlling interests	1,130	1,234	1,152	1,107	933	1,013	393	156	184	204	251	348	467	609	776
Total Equity	**4,097**	**4,512**	**4,414**	**4,267**	**4,458**	**5,355**	**5,336**	**5,860**	**6,031**	**6,773**	**7,939**	**9,517**	**11,328**	**13,382**	**15,702**
Total Liabilities and Equity	**9,664**	**10,107**	**9,627**	**9,930**	**11,853**	**13,888**	**12,501**	**12,221**	**13,285**	**15,041**	**17,339**	**19,233**	**21,348**	**23,746**	**26,392**

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 66: **Hitachi Cash Flow Statement**

Cash Flow Statement

JPY billion	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Net Income	338	491	321	127	519	671	704	627	657	851	1,123	1,437	1,766	2,107	2,476
Depreciation & amortization	415	364	368	433	492	540	526	452	432	458	486	507	538	560	571
Changes in working capital	(165)	(76)	(202)	(142)	13	(226)	(174)	8	110	242	(365)	(520)	(551)	(475)	(456)
Other	41	(52)	123	143	(230)	(255)	(229)	(130)	(27)	116	(138)	(65)	(65)	(65)	(65)
Cash flow from operations	**630**	**727**	**610**	**561**	**793**	**730**	**827**	**957**	**1,172**	**1,668**	**1,105**	**1,360**	**1,688**	**2,127**	**2,526**
Capex	(417)	(440)	(472)	(421)	(373)	(440)	(411)	(385)	(392)	(498)	(590)	(733)	(746)	(740)	(717)
Net proceeds from investment income	72	(65)	235	(180)	(179)	(764)	510	195	(219)	122	87	0	0	0	0
Other	637	758	685	636	886	885	878	1,015	1,209	1,703	1,120	1,360	1,688	2,127	2,526
Cash flow from investments	**292**	**253**	**447**	**35**	**334**	**(319)**	**978**	**825**	**599**	**1,327**	**617**	**627**	**943**	**1,387**	**1,809**
Cash flow from financing	**(210)**	**(321)**	**(320)**	**3**	**(185)**	**203**	**(1,143)**	**(1,025)**	**(424)**	**(971)**	**(33)**	**164**	**68**	**(30)**	**(134)**
Net effect of exchange rate changes	0	0	0	0	0	69	29	72	(14)	102	20	0	0	0	0
Net change in cash	**(1,933)**	**(4,029)**	**(4,470)**	**2,616**	**3,936**	**(373)**	**12,286**	**12,109**	**13,714**	**15,624**	**17,711**	**20,077**	**22,562**	**25,184**	**27,909**
Beginning cash	17,356	15,426	11,128	6,591	9,555	13,567	13,164	25,450	37,559	51,273	66,897	84,608	104,685	127,247	152,431
Ending cash	**15,426**	**11,128**	**6,591**	**9,555**	**13,567**	**13,164**	**25,450**	**37,559**	**51,273**	**66,897**	**84,608**	**104,685**	**127,247**	**152,431**	**180,340**

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

			13 Oct 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
6501.JP (Hitachi)	O	JPY	5,764.00	7,300.00	6.1%	JPY	176.63	231.31	295.52	32.6	24.9	19.5
JPL			2,660.92									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY

Hitachi Ltd

We rate Hitachi Outperform, with target price of ¥7,300. We used an SOTP valuation and triangulate using an average of DCF (WACC: 8.5%, PGR: 3%) and 12x EV/EBITDA on 2 Year Blended Forward EBITDA.

RISKS

Hitachi Ltd

The downside risks include: 1) Slowdown of Energy business if the Data Center build out slows or global investments in grid infrastructure is less robust than expected. 2) Execution risks of Lumada 3.0 where HMAX reception is less than expected leading to slower revenue growth and margin expansion. 3) Competition heats up among Rail and Connective Industries segments from other global players.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
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Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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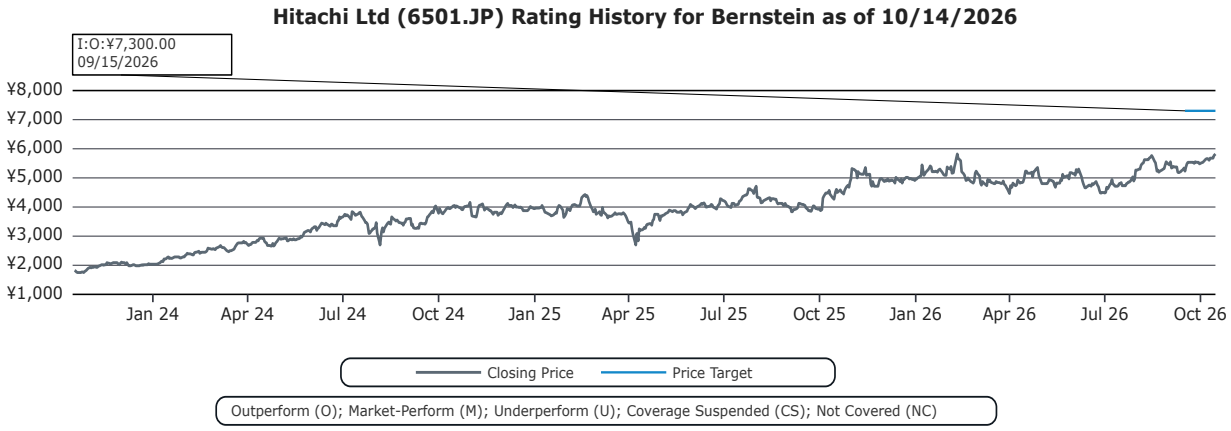
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Outperform	BUY	52.3%	14.2%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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